

# Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

## COMPANY PROFILE

Tesla designs, manufactures, sells and leases electric vehicles, battery-storage systems and solar products. It also operates a fast-charging network and sells connected driver-assistance software. The company is developing unsupervised autonomous mobility and general-purpose humanoid robots using shared capabilities in batteries, power electronics, artificial intelligence, manufacturing and fleet data.

### RECOMMENDATION

# SELL

12-month horizon

### CURRENT PRICE

## 328.58 USD

as of report date

### TARGET PRICE

## 135.00 USD

12-month fundamental

### IMPLIED UPSIDE

## -58.9%

vs. current price

### MARKET CAP

## USD 1,297.7 bn

shares × price

### ENTERPRISE VALUE

## USD 1,295.8 bn

mcap + EV adjustments

P/E 2026E

## 145.2×

EV/EBITDA 2026E

## 104.3×

FCF YIELD 2026E

## 0.3%

DIVIDEND YIELD  
2026E

—

NET DEBT / EBITDA  
2026E

## -1.0×

RESEARCH SNAPSHOT

# The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

|                                                                      |                                                                                   |                                                                                                     |                                                                     |
|----------------------------------------------------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|
| <p>RECOMMENDATION</p> <p><b>SELL</b></p> <p>12-month horizon</p>     | <p>TARGET PRICE</p> <p><b>135.00 USD</b></p> <p>12-month fundamental</p>          | <p>CURRENT PRICE</p> <p><b>328.58 USD</b></p> <p>as of report date</p>                              | <p>IMPLIED UPSIDE</p> <p><b>-58.9%</b></p> <p>vs. current price</p> |
| <p>MARKET CAP</p> <p><b>USD 1,297.7 bn</b></p> <p>shares × price</p> | <p>ENTERPRISE VALUE</p> <p><b>USD 1,295.8 bn</b></p> <p>mcap + EV adjustments</p> | <p>P/E · EV/EBITDA<br/>2026E</p> <p><b>145.2x · 104.3x</b></p> <p>history + peers, see p. 18–19</p> | <p>FCF · DIV YIELD<br/>2026E</p> <p><b>0.3% · —</b></p>             |



**01 The quoted price requires software-like group economics**

The market-implied model requires a 59.4% EBIT margin in 2027 despite approximately flat revenue. Tesla's followed forecast reaches only 8.1%, leaving the valuation dependent on a rapid mix shift toward businesses that are not separately reported or remain pre-revenue.

59.4% implied 2027 EBIT margin

**02 Autonomy has a large prize but an incomplete permission set**

Texas provides a route to automated commercial operations, while California still permits testing only with a driver. Tesla's supervised fleet provides data, but supervised and rider-only miles are not equivalent evidence for regulatory or liability purposes.

7 US metros; California driverless permit absent

**03 Energy is the strongest disclosed diversification engine**

Energy generation and storage produced USD 12.8 billion of FY2025 revenue and USD 3.8 billion of gross profit. Its 29.8% gross margin provides genuine earnings diversification, although cell prices, integrator competition and project mix could compress it.

29.8% FY2025 gross margin

**THESIS BREAKER**

The SELL thesis breaks if Tesla demonstrates scalable rider-only operations with audited safety and durable economics across multiple strict jurisdictions.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.



|                                                      |                                               |                                                |                                               |
|------------------------------------------------------|-----------------------------------------------|------------------------------------------------|-----------------------------------------------|
| CURRENT PRICE<br><b>328.58 USD</b><br>18 August 2026 | TARGET PRICE<br><b>135.00 USD</b><br>12-month | IMPLIED UPSIDE<br><b>-58.9%</b><br>vs. current | 52-WEEK HIGH<br><b>498.83 USD</b><br>past 12m |
| 52-WEEK LOW<br><b>297.38 USD</b><br>past 12m         | 1-YEAR CHANGE<br><b>+1.2%</b><br>price only   | 3-YEAR CHANGE<br><b>+57.5%</b><br>price only   | REPORT DATE<br><b>18 August 2026</b>          |

READING THE MOVE

Tesla’s valuation has been supported by record Q2 2026 deliveries, robotaxi expansion to seven metropolitan areas and rapid FSD subscriber growth. Offsetting evidence includes a sharp Q2 automotive-margin decline, high AI and robotaxi investment, and unresolved driverless permission in California. The USD 161.7 target explicitly values the operating businesses and autonomy options rather than extrapolating the share-price move.

VALUE BREAKDOWN · PART 1

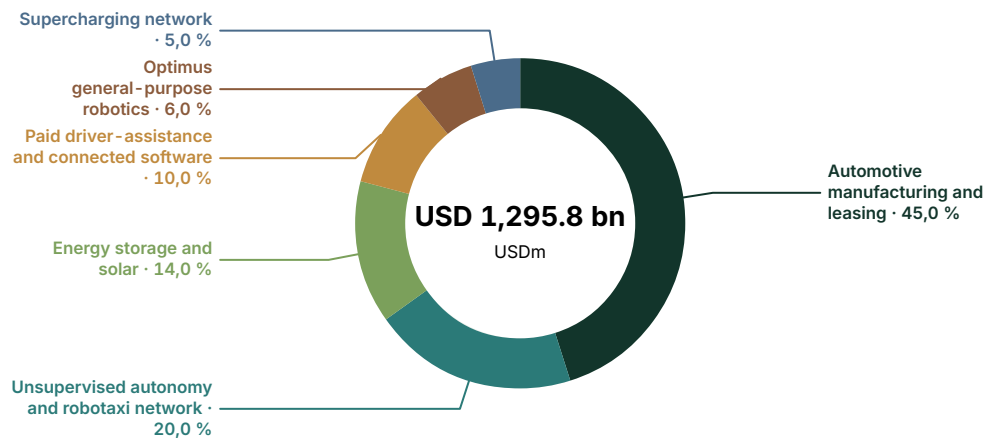
## Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

### Enterprise value by business division

USD millions · current analytical allocation



### VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. This issuer discloses segment gross profit but not segment EBIT, so the absolute profit column is verified gross profit while the share column is the model's estimate of each division's share of group EBIT. Business divisions may differ from company - reported accounting segments.

|                                                 | EV               | EV %          | REVENUE       | REV %         | GROSS PROFIT  | EBIT SHARE OF TOTAL (EST.) | BASIS               |
|-------------------------------------------------|------------------|---------------|---------------|---------------|---------------|----------------------------|---------------------|
| Automotive manufacturing and leasing            | 583,123          | 45.0%         | 76,808        | 81.0%         | 11,336        | 60.0%                      | Modelled allocation |
| Unsupervised autonomy and robotaxi network      | 259,166          | 20.0%         | 0             | 0.0%          | 0             | -8.0%                      | Modelled allocation |
| Energy storage and solar                        | 181,416          | 14.0%         | 12,771        | 13.5%         | 3,802         | 30.0%                      | Modelled allocation |
| Paid driver - assistance and connected software | 129,583          | 10.0%         | 1,648         | 1.7%          | 1,236         | 22.0%                      | Modelled allocation |
| Optimus general - purpose robotics              | 77,750           | 6.0%          | 0             | 0.0%          | 0             | -6.0%                      | Modelled allocation |
| Supercharging network                           | 64,790           | 5.0%          | 3,600         | 3.8%          | 720           | 2.0%                       | Modelled allocation |
| <b>Total</b>                                    | <b>1,295,828</b> | <b>100.0%</b> | <b>94,827</b> | <b>100.0%</b> | <b>17,094</b> | <b>100.0%</b>              | —                   |

VALUE BREAKDOWN · PART 2

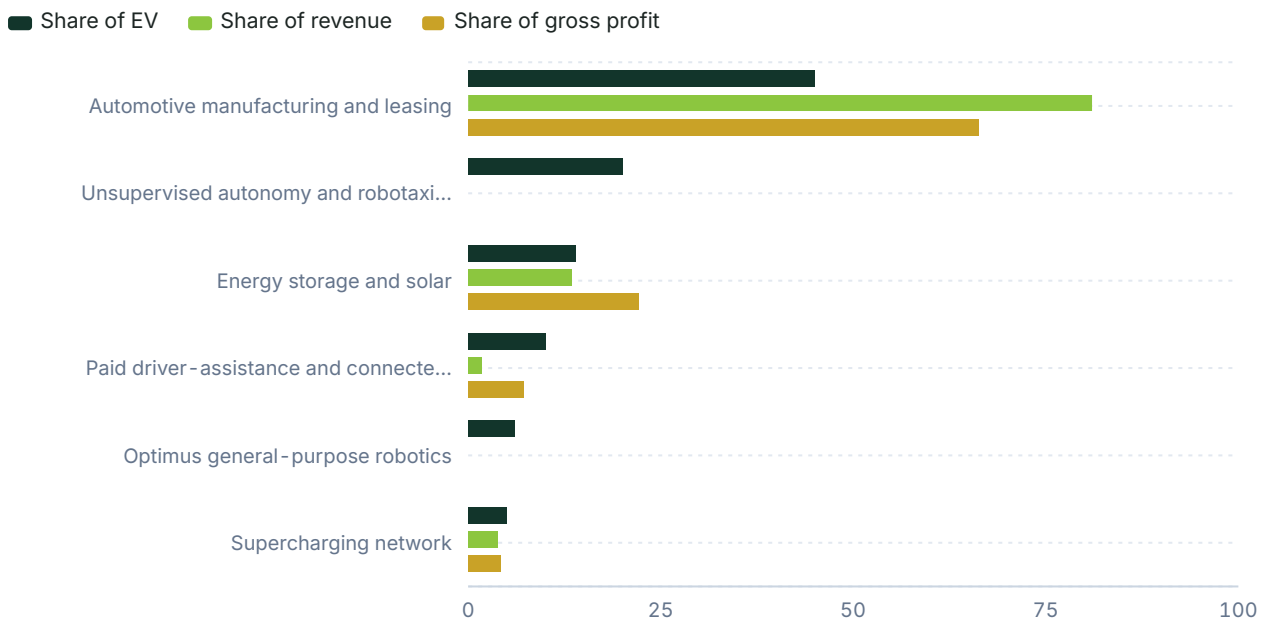
## Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

### Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



### INTERPRETATION

The current enterprise value is concentrated in automotive and autonomy expectations, while the target valuation relies less on unproven options. Energy provides disproportionate disclosed gross profit, software has credible recurring economics, and charging has measurable throughput. Robotaxi and Optimus remain valuable options, but current market allocations exceed values supported by probability-weighted evidence on permission, safety, production and utilization.

## RECOMMENDATION

## Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

**SELL.** The 12-month target price is USD 135.0, implying 58.9% downside from the current price of USD 328.58.

The current price requires economics far beyond the followed model's 2026 forecast of USD 93.9 billion revenue and USD 6.9 billion EBIT. The reverse valuation reaches the market capitalization only if 2027 EBIT rises to USD 55.5 billion on virtually unchanged revenue, implying a 59.4% EBIT margin. This is inconsistent with Tesla's Q2 automotive gross margin of 16.3% excluding credits and the model's 2026 group EBIT margin of 7.4%, unless high-margin autonomy and software dominate unusually quickly.

The evidence is not uniformly bearish. Tesla delivered a record 480,126 vehicles in Q2 2026, had 1.48 million active FSD subscribers, operated robotaxi services in seven US metropolitan areas and generated attractive energy-segment gross profit. It also has a cost advantage if a roughly USD 400 vision-only sensor suite can safely perform work that costs far more with multi-sensor systems. These assets justify option value well above conventional automotive peers.

The strongest challenge to the SELL call is that a scalable driverless network could address nearly USD 10 trillion of annual transportation activity, rather than the much smaller current robotaxi market. If Tesla proves rider-only safety, secures driverless permissions beyond Texas, and approaches its USD 0.20-per-mile cost target, the network could create more value than automotive. The report still assigns a majority failure outcome because California permits Tesla only with a driver and disclosed driverless evidence remains well behind Waymo.

The call would improve to HOLD or BUY if independently auditable driverless miles, intervention frequency and contribution margin support a nationwide rollout, or if Optimus demonstrates repeatable multi-task work at a commercially competitive cost. It would become more negative if automotive margin remains near the mid-teens while capital expenditure exceeds USD 25 billion, energy gross profitability reverses, or FSD attachment and retention stop rising.

## CORE ANALYSIS · EXECUTIVE MAP

## 07

## How the company creates economic value

The framework underlying the business division deep dives that follow.

Automotive remains the physical platform and current revenue base. Its key measure is gross margin excluding credits, not deliveries alone. Paid software turns the fleet into recurring high-margin revenue, with retention and effective monthly yield as the key variables. Charging monetizes energy throughput and supports vehicle utility, but its standalone value depends on kWh per connector and the electricity spread.

Energy is the strongest disclosed diversification engine: its 13.5% revenue share generated 22.2% of group gross profit. Robotaxi has the greatest upside, but the key measure is audited rider-only miles per intervention under commercial permits. Optimus addresses a large labor opportunity, but value depends on autonomous productive hours per unit at a cost below the targeted selling price.

**ANALYTICAL ANCHOR**

Tesla's valuation is not based on one growth assumption. It is six distinct economic claims competing for capital, batteries, software and management attention.

08.1

Automotive manufacturing and leasing

Business division deep dive — Profit engine.

THE PRIZE IS GLOBAL VEHICLE AND OWNERSHIP EXPENDITURE

Tesla competes in a USD 4.36 trillion global automotive market for 2025, estimated by Market Research Future in August 2026. The relevant economic pool is broader than annual vehicle sales. Vehicle ownership absorbs approximately 17% of household expenses, according to The Zebra’s August 2026 assessment, including purchase, depreciation, financing, insurance, maintenance and energy. Tesla currently captures manufacturing revenue, leasing income, regulatory credits and related service activity, not the full ownership wallet. The valuation therefore uses achievable vehicle revenue and margin rather than a direct share of this multi-trillion-dollar pool. At USD 76.8 billion of modelled FY2025 division revenue, Tesla captures less than 2% of the labeled global automotive market. Market size is not the immediate constraint; gross margin at the delivery volumes needed to use installed factories is.

THE REQUIRED SHARE IS PLAUSIBLE, BUT THE MARGIN IS NOT YET SECURE

A USD 240.0 billion enterprise value for this division is supported by the report’s target-year EBITDA estimate of USD 24.0 billion at 10.0x. At a mature 14% automotive EBITDA margin, this requires approximately USD 171 billion of revenue. At USD 43,000 per delivered vehicle, that implies about 4.0 million annual vehicle-equivalents before leasing, credits and service revenue. This is demanding but not implausible in a USD 4.36 trillion market, representing approximately 3.9% by revenue. The harder task is doubling volume while preserving pricing and restoring margin. Q2 2026 automotive revenue per delivered vehicle had fallen below USD 43,000 from more than USD 50,000 in 2021. Tesla must combine lower unit cost, better capacity utilization and less discounting. The base valuation excludes autonomy revenue from vehicle EBITDA; that value is assigned separately to paid software and robotaxi.

AUTOMOTIVE MANUFACTURING AND LEASING FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
USD 76,808m

MODEL ESTIMATE GROSS PROFIT  
USD 11,336m

FY2025 MODELLED REVENUE  
BOUNDARY  
\$76.8bn

Q2 2026 DELIVERIES  
480,126

Q2 AUTOMOTIVE REVENUE  
\$20.52bn

Q2 MARGIN EX-CREDITS  
16.3%

Q2 REVENUE PER DELIVERY  
<\$43,000

US EV SHARE, Q2 2026  
50.5%

BASE VALUATION INPUT  
\$24.0bn EBITDA × 10.0x



08.1

Automotive manufacturing and leasing (continued)

Business division deep dive — Profit engine.

REPORTED AND MODELLED BOUNDARIES MUST REMAIN SEPARATE

Tesla's verified FY2025 Automotive segment control is USD 82.1 billion of external sales and USD 13.3 billion of gross profit, or 86.5% of group revenue and 77.8% of group gross profit. This reported segment includes activities assigned elsewhere in the report, notably charging and software, so it is not the automotive-manufacturing division. The report models manufacturing and leasing revenue at USD 76.8 billion by starting with USD 94.8 billion of group revenue, then subtracting USD 12.8 billion of energy revenue, USD 3.6 billion of estimated paid charging revenue and USD 1.6 billion of modelled paid-software revenue. The resulting boundary includes vehicle sales, USD 2 billion of regulatory-credit revenue, USD 1.7 billion of leasing revenue and residual automotive services. Gross profit is also allocated rather than reported: USD 11.3 billion after assigning USD 1.2 billion to software and USD 720 million to paid charging. This preserves demonstrable revenue while recognizing that Tesla does not report these business divisions.

DEMAND HAS RECOVERED, BUT GLOBAL LEADERSHIP IS CONTESTED

- Tesla delivered 480,126 vehicles in Q2 2026, up 25% year over year and a quarterly record.
- BYD sold 557,090 BEVs in Q2 2026, above Tesla's 480,126, and regained the quarterly global lead.
- Tesla retained 50.5% of US EV sales in Q2 2026, while its first-quarter global BEV share was estimated at approximately 13%.
- BYD delivered 2,256,714 all-electric vehicles in 2025. Another source rounded this to 2.26 million, so the difference is rounding rather than a different conclusion.

The evidence supports a strong US franchise, not unchallenged global leadership. Cox Automotive measured Tesla at 50.5% of US EV sales in Q2, while EVwire reported a 52.3% first-half share; the periods are compatible. In China, BYD held 23.5% of the broader NEV retail market in July 2026. In Europe, BEVs represented 19.7% of new-car registrations during the first four months, leaving room for Volkswagen and other local producers. Scale improves procurement, factory absorption and pricing flexibility, but competition means capacity expansion alone is insufficient. Tesla's 10 millionth vehicle and Shanghai's six millionth battery pack show industrial learning. They do not prove that future incremental vehicles will earn the margin in the base valuation.

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MODEL ESTIMATE GROSS PROFIT  
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\$24.0bn EBITDA × 10.0x

08.1

Automotive manufacturing and leasing (continued)

Business division deep dive — Profit engine.

FACTORY UTILIZATION IS THE OPERATING FULCRUM

Shanghai has approximately one million vehicles of annual capacity and is Tesla's largest, most utilized plant. Berlin produced 61,000 Model Ys in Q1 2026 and operated at approximately 65% of its 375,000-unit annual installed capacity. That implies roughly 131,000 units of unused annualized capacity at Berlin, calculated as 35% of 375,000, although quarterly mix and downtime make this approximate. Specific 2026 utilization for Texas and Fremont is unavailable, preventing a reliable group calculation. Tesla's Q2 update says it decommissioned Model S and X lines at Fremont to build Optimus capacity. Saying the models were discontinued is directionally correct but less precise because the official statement identifies a production-line conversion and capital reallocation. Fewer low-volume configurations may simplify automotive production, but the move reduces premium-price breadth and redirects capital from current vehicles to an unproven option.

MARGIN EVIDENCE REMAINS BELOW THE LEVEL NEEDED FOR A PREMIUM VALUATION

Two Q2 sources differ because they use different definitions. MLQ.ai reported a 16.3% automotive gross margin excluding regulatory credits, while Statista reported a 16.7% automotive gross margin. The report uses 16.3% because excluding credits better reflects vehicle economics and credits fell 67% year over year to USD 146 million. BYD's FY2025 automotive gross margin was 20.5%, above Tesla's 17.8%, while Toyota's group gross margin was 16.7% for the fiscal year to March 2026. Volkswagen's 3.8% first-half operating return shows that gross margin does not translate directly into EBIT after selling, engineering and corporate costs. Tesla's 2025 group EBIT margin was 4.6%, and the followed model reaches 7.4% in 2026. A 14% division EBITDA margin at scale assumes meaningful cost absorption and mix recovery, while remaining below software economics.

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US EV SHARE, Q2 2026  
50.5%

BASE VALUATION INPUT  
\$24.0bn EBITDA × 10.0x

08.1

Automotive manufacturing and leasing (continued)

Business division deep dive — Profit engine.

LEASING ADDS RESILIENCE, BUT DISCLOSED MARGIN EVIDENCE IS LIMITED

FY2025 automotive leasing revenue was USD 1.7 billion. Q2 2026 leasing revenue fell to USD 364 million from USD 435 million one year earlier. Leasing can support residual values, improve control of used inventory and smooth affordability, but it retains asset and resale-price risk. Tesla remains small versus specialist fleet managers: Ayvens operated approximately 3.1 million vehicles in August 2026 and Arval financed nearly 1.9 million vehicles at the end of 2025. Europe represented an estimated 39.2% of global automotive leasing and finance revenue in 2025, making local residual values and financing terms important to expansion. Tesla does not disclose leasing gross margin, so the valuation gives leasing no premium multiple. Lower used-car prices would hurt lease economics and new-vehicle affordability through trade-in values.

CAPITAL INTENSITY LIMITS THE VALUE OF GROWTH WITHOUT CASH CONVERSION

Tesla's 2025 FCFF was negative USD 383 million after USD 11.2 billion of gross capital expenditure. The followed model expects USD 3.5 billion of FCFF in 2026 on USD 8.3 billion of capex. External reporting after Q2 indicated full-year capex could exceed USD 25 billion, while Q2 alone reached USD 5.8 billion. This is a material forecast-timing risk, not a minor variance. If capex exceeds USD 25 billion while operating profit remains near the followed model, annual cash generation will be materially lower. Some investment supports robotaxi, batteries and robotics rather than automotive, but shareholders fund it from the same balance sheet. The base automotive multiple is therefore 10.0x target-year EBITDA, below Tesla's normalized 101.83x historical group EV/EBITDA and closer to established mobility and manufacturing levels than to its share-price history.

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BASE VALUATION INPUT  
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08.1

Automotive manufacturing and leasing (continued)

Business division deep dive — Profit engine.

WHAT WOULD VALIDATE OR BREAK THE AUTOMOTIVE VALUE

Validation requires annualized deliveries to approach four million units, automotive gross margin excluding credits to recover above 20%, revenue per vehicle to stabilize, and capex to produce higher utilized capacity. Strong near-term evidence would include sustained delivery records without price cuts, Berlin utilization above its reported 65%, and group free cash flow despite AI investment. The value breaks if Tesla needs continued discounting to fill factories, if BYD sustains higher gross margin while growing faster, or if regulatory credits keep falling before manufacturing costs catch up. At a 10% rather than 14% EBITDA margin, the same USD 24 billion of EBITDA requires USD 240 billion of revenue, or about 5.6 million vehicles at USD 43,000 each. Holding USD 171 billion of revenue at a 10% margin would reduce EBITDA to USD 17.1 billion and value to roughly USD 171 billion at 10.0x, USD 69 billion below the base automotive value. Sustainable gross margin, not headline delivery growth, is therefore decisive.

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BASE VALUATION INPUT  
\$24.0bn EBITDA × 10.0x

AUTOMOTIVE SCALE, MARGIN AND LEASING BENCHMARKS

| OPERATOR   | SCALE/SHARE           | MARGIN EVIDENCE           | VALUATION RELEVANCE      |
|------------|-----------------------|---------------------------|--------------------------|
| Tesla      | 480,126 Q2 deliveries | 16.3% GM ex-credits       | \$24bn EBITDA × 10x      |
| BYD        | 557,090 Q2 BEVs       | 20.5% FY2025 auto GM      | Scale and price pressure |
| Toyota     | Global incumbent      | 16.7% FY2026 gross margin | Manufacturing benchmark  |
| Volkswagen | Major European rival  | 3.8% H1 operating return  | Through-cycle EBIT check |
| Ayvens     | 3.1m fleet, Aug-26    | Not in evidence           | Leasing scale benchmark  |

08.2

Unsupervised autonomy and robotaxi network

Business division deep dive — Emerging option.

THE PRIZE IS TRANSPORTATION SPENDING, NOT TODAY’S ROBOTAXI MARKET

The global transportation-services market could reach approximately USD 9.98 trillion in 2026, according to Precedence Research in July 2026. This is close to the USD 10 trillion personal-transportation expenditure estimate cited by ARK-related research. It is the relevant long-run pool because autonomous vehicles could replace private ownership, taxis, ride-hailing and some public-transport journeys. Estimates for the labeled 2026 robotaxi market range from USD 1.187 billion at Grand View Research to USD 5.301 billion at SQ Magazine. This is not a forecast discrepancy to average: the smaller figures measure a new service category, while the larger figure measures activity the technology could eventually compete for. The option valuation uses the displaced-spend pool but assumes only 0.4% to 1.0% capture in successful cases. It does not capitalize a share of USD 9.98 trillion without margin and probability filters.

THE VALUATION REQUIRES MEASURABLE CAPTURE, NOT UNIVERSAL AUTONOMY

The lower success case assumes USD 40 billion of annual network revenue, or 0.4% of USD 9.98 trillion, and USD 20 billion of EBITDA at a 50% margin. The higher case assumes USD 100 billion of revenue, a 1.0% share, and USD 50 billion of EBITDA. At an assumed realized fare of USD 0.50 per mile, these cases require 80 billion and 200 billion paid miles annually. At 60,000 paid miles per vehicle per year, they imply approximately 1.3 million and 3.3 million active vehicles. These are report estimates, not company guidance. They are far above the 42 Model Ys registered for driverless ride-sharing in Texas as of May 2026, showing the remaining fleet and permission challenge. The cases use 16.0x EBITDA in 2032 and success probabilities of 30% and 19%, leaving 51% as the zero-value failure outcome.

UNIT ECONOMICS CAN WORK IF UTILIZATION AND SAFETY COEXIST

Tesla targets a Cybercab operating cost near USD 0.20 per mile, versus AAA’s approximately USD 0.77 per mile cost to own and operate a new vehicle. At a USD 0.50 fare and USD 0.20 of direct operating cost, gross contribution before network overhead is USD 0.30 per mile, or 60%. At 60,000 paid miles per year, one vehicle would generate USD 30,000 of revenue and USD 18,000 of contribution. A USD 30,000 vehicle depreciated over five years adds USD 0.10 per mile at that utilization if it is not already included in the operating-cost target. This shows why cost definitions matter. Empty repositioning, cleaning, insurance, remote assistance and downtime could materially reduce margin. The option cases therefore assume a 50% EBITDA margin only at mature density, not during launch.

UNSUPERVISED AUTONOMY AND ROBOTAXI NETWORK FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED TRANSPORTATION SPEND

\$9.98tn in 2026

LABELED ROBOTAXI MARKET

\$1.19bn–\$5.30bn in 2026

BASE SUCCESS-LEG SHARE

1.0% of displaced spend

CYBERCAB COST TARGET

\$0.20/mile

COMMERCIAL FOOTPRINT

7 US metros, Q2 2026

CALIFORNIA STATUS

With-driver testing only

NEXT GATE

Audited rider-only safety and permits

08.2

Unsupervised autonomy and robotaxi network (continued)

Business division deep dive — Emerging option.

TESLA HAS COMMERCIAL MOMENTUM BUT LIMITED COMPARABLE OPERATING EVIDENCE

- Tesla reported robotaxi service in seven major US metropolitan areas by the end of Q2 2026 and targets roughly 12 states by year-end.
- Waymo reached 500,000 paid rides per week across ten US cities by March 2026 and about 15% of ride-hailing gross bookings in mature San Francisco and Los Angeles zones by June.
- Baidu Apollo Go completed 3.4 million fully driverless rides in Q4 2025 and reached 20 million cumulative rides by February 2026.
- Tesla's Austin median wait time was reported at 15.32 minutes versus Uber's 3.15 minutes, showing that availability and fleet density remain important.

Tesla's operating-footprint claim is not the same as its regulatory permission. It can operate a branded robotaxi service under different permissions, safety-driver arrangements or geofenced conditions. Waymo's 500,000 weekly paid rides and Baidu's 3.4 million quarterly trips are clearer volume benchmarks than a city count. Tesla's seven-metro expansion matters because it tests whether operations can be replicated, but Tesla has not disclosed active fleet size, rides, revenue, paid miles or remote-assistance frequency. The report therefore gives city expansion positive probability weight without treating it as proof of scaled driverless economics.

TEXAS IS PERMISSIVE, WHILE CALIFORNIA REMAINS THE KEY US CONTRAST

Texas granted Tesla Robotaxi LLC TNC permit 000143 for statewide automated operations from 6 August 2025 to 6 August 2026. Tesla self-certified its system as SAE Level 4 compliant under the new state framework. The evidence does not establish renewal after 6 August 2026, a material gap at the report date. In California, Tesla held only an Autonomous Vehicle Testing Permit with a driver as of 12 August 2026. It had neither a driverless testing permit nor a driverless deployment permit. Its Bay Area service used a standard TCP limousine permit, not CPUC authorization for commercial autonomous operation. Texas supports commercial testing, but this contrast prevents extrapolation to nationwide driverless permission.

UNSUPERVISED AUTONOMY AND ROBOTAXI NETWORK FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED TRANSPORTATION SPEND

\$9.98tn in 2026

LABELED ROBOTAXI MARKET

\$1.19bn–\$5.30bn in 2026

BASE SUCCESS-LEG SHARE

1.0% of displaced spend

CYBERCAB COST TARGET

\$0.20/mile

COMMERCIAL FOOTPRINT

7 US metros, Q2 2026

CALIFORNIA STATUS

With-driver testing only

NEXT GATE

Audited rider-only safety and permits

08.2

Unsupervised autonomy and robotaxi network (continued)

Business division deep dive — Emerging option.

CHINA AND EUROPE ADD OPPORTUNITY AND LIABILITY GATES

China's GB 44721-2026 standard for Level 3 and Level 4 systems takes effect on 1 July 2027 and makes automakers liable for accidents within the operational design domain. Tesla was recruiting test technicians in nine Chinese cities and targeting broader regulatory progress during Q3 2026, but the register does not show comprehensive driverless commercial approval. In Europe, Dutch approval for FSD Supervised had been recognized by Lithuania, Estonia, Denmark and Belgium. This is a supervised-product milestone, not robotaxi approval. The UNECE WP.29 framework adopted in June 2026 may support mutual recognition across more than 60 countries, but national implementation and operational-design-domain approval remain necessary. The geographic picture is supervised use in selected European countries, testing and localization in China, permissive automated operation in Texas, and no driverless permission in California.

SAFETY EVIDENCE IS EXTENSIVE FOR SUPERVISED DRIVING, BUT LIMITED FOR RIDER-ONLY DRIVING

Tesla owners have accumulated more than eight billion miles using FSD Supervised, a meaningful training-data asset. Tesla reported one major collision per 6.36 million Autopilot-engaged miles in Q3 2025. Another Tesla-derived dataset reported one major collision per 5.30 million FSD Supervised miles over a later twelve-month period. The figures cover different products or periods, so the report does not treat either as universally superior. Neither is directly comparable with rider-only operations because supervision changes intervention behavior and the risk population. Tesla defines its unsupervised threshold as approximately ten times safer than a human, but the public record lacks a driverless safety filing that lets investors test this by road type, weather and operating domain.

UNSUPERVISED AUTONOMY AND ROBOTAXI NETWORK FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED TRANSPORTATION SPEND

\$9.98tn in 2026

LABELED ROBOTAXI MARKET

\$1.19bn-\$5.30bn in 2026

BASE SUCCESS-LEG SHARE

1.0% of displaced spend

CYBERCAB COST TARGET

\$0.20/mile

COMMERCIAL FOOTPRINT

7 US metros, Q2 2026

CALIFORNIA STATUS

With-driver testing only

NEXT GATE

Audited rider-only safety and permits

08.2

Unsupervised autonomy and robotaxi network (continued)

Business division deep dive — Emerging option.

CONFLICTING DRIVERLESS-MILEAGE ESTIMATES SUPPORT AN EVIDENCE DISCOUNT

Public estimates differ sharply. Electrek reported approximately 380,000 cumulative driverless miles by mid-August 2026. A Medium operational summary cited nearly 700,000 cumulative paid robotaxi miles through February 2026, while another comparison cited roughly 1.7 million Tesla driverless miles by early 2026. These cannot all use the same definition and period. The report uses the lowest clearly described driverless figure and treats all estimates as unaudited because the sources do not reconcile paid miles, testing miles, safety-driver presence or remote assistance. Waymo, by comparison, had accumulated more than 170.7 million rider-only miles. Community tracking also placed Tesla FSD 12.6 at roughly 213 highway miles per disengagement, versus 9,793 miles per disengagement in Waymo's 2024 California filing. Product, geography and reporting methods differ. The gap supports a high failure probability, not a conclusion that Tesla cannot close it.

HARDWARE ECONOMICS HELP, BUT LEGACY-FLEET COMPATIBILITY IS A CONSTRAINT

A Tesla vision-only sensor suite is estimated at approximately USD 400 per vehicle, compared with roughly USD 12,000 for a multi-sensor suite including LiDAR. If vision-only performance is sufficient, the hardware savings matter across millions of vehicles and support low-cost fleet deployment. However, Elon Musk confirmed that Hardware 3 vehicles cannot support unsupervised full self-driving and require Hardware 4 or later for future driverless use. This limits autonomous eligibility across part of the installed base and may create retrofit, customer-remedy and reputational costs. A consumer fraud class action alleging deceptive marketing of Hardware 1 through 3 as autonomy-capable remains unresolved. The model values consumer FSD separately and does not assume every paid FSD customer becomes a robotaxi supplier.

UNSUPERVISED AUTONOMY AND ROBOTAXI NETWORK FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED TRANSPORTATION SPEND

\$9.98tn in 2026

LABELED ROBOTAXI MARKET

\$1.19bn-\$5.30bn in 2026

BASE SUCCESS-LEG SHARE

1.0% of displaced spend

CYBERCAB COST TARGET

\$0.20/mile

COMMERCIAL FOOTPRINT

7 US metros, Q2 2026

CALIFORNIA STATUS

With-driver testing only

NEXT GATE

Audited rider-only safety and permits



08.2

Unsupervised autonomy and robotaxi network (continued)

Business division deep dive — Emerging option.

COMPETITION PROVES DEMAND BUT RAISES THE EXECUTION BAR

Waymo’s mature-zone share shows that riders will use driverless services when wait times and coverage are competitive. Baidu demonstrates high trip volume under China’s operating framework. Uber provides a network-density benchmark and had a 14.1% forecast EBIT margin for 2026 in the peer pack, although it is asset-light and not a direct margin comparator for vehicle-owning robotaxis. Tesla’s vertical integration could retain vehicle-manufacturing margin, software margin and network take rate. It would also bear fleet depreciation, insurance and regulatory liability. North America’s reported share of the 2025 robotaxi market ranges from 54.09% to 90.0%; the difference reflects immature market definitions, so neither figure is used in valuation. The option instead uses explicit assumptions for revenue, margin and vehicle requirements.

PROBABILITY WEIGHTING IS THE CORE VALUATION JUDGMENT

The lower case’s 30% probability reflects operation across seven reported metros, Texas authorization, a large supervised dataset and plausible cost architecture. The higher case’s 19% probability reflects the additional possibility that Tesla scales to more than one million vehicles and captures 1.0% of displaced transportation spending by 2032. The 51% failure remainder exceeds either success case because California driverless permission is absent, Texas permit renewal is unproven, comparable rider-only mileage remains limited and remote-intervention frequency is undisclosed. Failure does not mean FSD lacks consumer value; that value is captured in paid software. It means the separate driverless network does not reach the modeled scale and EBITDA within the valuation horizon.

UNSUPERVISED AUTONOMY  
AND ROBOTAXI NETWORK FACT  
SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED TRANSPORTATION SPEND

\$9.98tn in 2026

LABELED ROBOTAXI MARKET

\$1.19bn–\$5.30bn in 2026

BASE SUCCESS-LEG SHARE

1.0% of displaced spend

CYBERCAB COST TARGET

\$0.20/mile

COMMERCIAL FOOTPRINT

7 US metros, Q2 2026

CALIFORNIA STATUS

With-driver testing only

NEXT GATE

Audited rider-only safety and permits

08.2

# Unsupervised autonomy and robotaxi network (continued)

Business division deep dive — Emerging option.

## WHAT WOULD BREAK THE OPTION UPWARD OR DOWNWARD

The option rises if Tesla publishes auditable rider-only miles and interventions, secures driverless deployment approval in California, renews Texas authority, and demonstrates wait times and paid utilization approaching incumbent ride-hailing. A path toward 1.3 million active vehicles, realized pricing near USD 0.50 per mile and mature EBITDA margin near 50% would validate the lower case. The option falls if operations continue to depend on safety drivers or opaque remote assistance, if liability rules prevent economic insurance, or if Hardware 4 fails adverse-weather validation. A cost of USD 0.35 rather than USD 0.20 per mile would halve contribution at a USD 0.50 fare, from USD 0.30 to USD 0.15 before overhead. The division could win demand yet disappoint valuation if permission, safety or utilization prevents high-margin scale.

## UNSUPERVISED AUTONOMY AND ROBOTAXI NETWORK FACT SHEET

EMERGING OPTION

REVENUE

**Not separately reported**

GROSS PROFIT

**Not separately reported**

DISPLACED TRANSPORTATION SPEND

**\$9.98tn in 2026**

LABELED ROBOTAXI MARKET

**\$1.19bn–\$5.30bn in 2026**

BASE SUCCESS-LEG SHARE

**1.0% of displaced spend**

CYBERCAB COST TARGET

**\$0.20/mile**

COMMERCIAL FOOTPRINT

**7 US metros, Q2 2026**

CALIFORNIA STATUS

**With-driver testing only**

NEXT GATE

**Audited rider-only safety and permits**

## ROBOTAXI COMMERCIAL, SAFETY AND PERMISSION BENCHMARKS

| OPERATOR  | COMMERCIAL SCALE         | DRIVERLESS EVIDENCE     | PERMISSION/STATUS         |
|-----------|--------------------------|-------------------------|---------------------------|
| Tesla     | 7 US metros, Q2-26       | 380k miles estimate     | TX path; CA with-driver   |
| Waymo     | 500k rides/week          | 170.7m rider-only miles | Active in multiple cities |
| Apollo Go | 3.4m rides Q4-25         | Fully driverless rides  | China deployments         |
| Uber      | Incumbent demand network | No core ADS benchmark   | Asset-light marketplace   |

08.3

Energy storage and solar

Business division deep dive — Profit engine.

THE PRIZE IS AVOIDED POWER COST AND OUTAGE LOSS, NOT EQUIPMENT REVENUE ALONE

The global battery-energy-storage market is projected to reach USD 96.8 billion in 2026 by BloombergNEF and Wood Mackenzie research published in March 2026. The economic pool is broader because storage and solar can replace fuel purchases, peak-generation capacity, grid upgrades and outage losses. SolarPower Europe estimated that solar could displace EUR 67.5 billion of EU natural-gas imports during 2026 if gas prices remained high. Oak Ridge National Laboratory put the cost of major US power outages at USD 121 billion in 2024. These regional figures cannot be combined into a clean global total because their geography and cost categories are inconsistent. The valuation therefore uses Tesla’s demonstrated revenue and gross profit rather than a global avoided-cost headline. Market growth supports volume, but battery inputs and project pricing determine the value Tesla retains.

THE REQUIRED SHARE IS MODERATE RELATIVE TO THE LABELED MARKET

The base valuation applies 10.0x to the report’s target-year USD 7.0 billion EBITDA estimate, producing USD 70 billion of enterprise value. At a 25% EBITDA margin, this requires approximately USD 28 billion of annual revenue. That equals 28.9% of the USD 96.8 billion labeled 2026 BESS market if the market does not grow. This overstates the required future share because the target year is later than 2026 and the division also includes residential batteries, solar and services. Compared with FY2025 revenue of USD 12.771 billion, USD 28 billion requires a little more than doubling. The assumption is demanding but based on an existing profitable business, not a pre-revenue option. It depends on deployment growth without gross margins reverting toward lower-margin integrator levels.

THE DISCLOSED SEGMENT IS ALREADY ECONOMICALLY MATERIAL

Tesla’s verified Energy generation and storage segment produced USD 12.8 billion of external sales and USD 3.8 billion of gross profit in FY2025. It represented 13.5% of group revenue but 22.2% of group gross profit. Its implied gross margin is 29.8%, calculated as USD 3.8 billion divided by USD 12.8 billion. This compares favorably with the group’s 18.0% gross margin, calculated from USD 17.1 billion of gross profit and USD 94.8 billion of revenue. Tesla reports segment gross profit, not segment EBIT or EBITDA, so the report does not relabel gross profit as operating profit. The USD 7.0 billion target EBITDA is a modeled mature outcome that requires operating expenses to grow more slowly than revenue.

ENERGY STORAGE AND SOLAR FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
USD 12,771m

MODEL ESTIMATE GROSS  
PROFIT  
USD 3,802m

FY2025 EXTERNAL SALES  
\$12.77bn

FY2025 GROSS MARGIN  
29.8%

GLOBAL BESS INTEGRATOR  
SHARE  
10% in 2025

STATIONARY PACK PRICE  
\$70/kWh in 2025

US RESIDENTIAL BATTERY  
QUOTES  
65% Tesla in 2026

BASE VALUATION INPUT  
\$7.0bn EBITDA × 10.0x

08.3

Energy storage and solar (continued)

Business division deep dive — Profit engine.

MARKET POSITION IS STRONG BUT NO LONGER FIRST GLOBALLY

- Benchmark Mineral Intelligence estimated BYD at 13% of the global BESS integrator market in 2025, ahead of Tesla.
- Tesla held an estimated 10% share in 2025, making it the second-largest global BESS integrator.
- Wood Mackenzie placed Sungrow at 9%, close enough that execution and regional mix can change the ranking.
- CATL held 27.1% of global ESS battery-cell shipments in H1 2026, showing meaningful upstream supplier power.

BYD's first-place position matters because it combines vehicle and battery scale with aggressive pricing. Tesla's second-place position still supports procurement leverage, project credibility and a global installed base, but market structure does not protect its position. Sungrow's 9% share shows that the top three are closely grouped. CATL's 27.1% cell-shipment share is a different market layer and should not be compared directly with integrator shares. It instead shows the concentration of a key input. Tesla can reduce supplier dependence through cell manufacturing and standardized Megapack design, but the evidence does not quantify the division's internally sourced cell share.

LOWER CELL COSTS EXPAND DEMAND BUT COULD BE COMPETED AWAY

Stationary lithium-ion battery-pack prices fell to a record USD 70 per kWh in 2025, according to BloombergNEF. Lower input costs can improve project returns, support more deployments and widen Tesla's gross margin if customer prices adjust with a lag. They can also lower system prices as BYD, Sungrow and other integrators pass savings to customers. The division's 29.8% FY2025 gross margin shows Tesla retained meaningful value during falling battery costs, but one year does not establish through-cycle sustainability. A ten-dollar pack-cost movement across one gigawatt-hour equals USD 10 million of input economics before hedging, chemistry, balance-of-system costs and contractual pass-throughs. At scale, small cost-per-kWh changes matter more than modest shifts in solar-unit volume.

RESIDENTIAL STORAGE HAS BRAND STRENGTH, BUT SOURCE DEFINITIONS DIFFER

AgentSolar AI estimated that Tesla represented 65% of US residential solar-battery installation quotes in 2026, with Enphase second at 16.6%. Wood Mackenzie separately estimated Tesla reached 33.4% of US residential solar installations in Q4 2025. These are not conflicting measures of one market: the first covers battery quotes, while the second covers residential solar installations. Neither establishes Tesla's global residential share. Together, they indicate a strong US consumer-energy position across Powerwall and solar. The valuation does not extend the 65% quote share globally because quotes may not convert to installations and no comparable global company ranking was found.

ENERGY STORAGE AND SOLAR FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 12,771m

MODEL ESTIMATE GROSS PROFIT

USD 3,802m

FY2025 EXTERNAL SALES

\$12.77bn

FY2025 GROSS MARGIN

29.8%

GLOBAL BESS INTEGRATOR SHARE

10% in 2025

STATIONARY PACK PRICE

\$70/kWh in 2025

US RESIDENTIAL BATTERY QUOTES

65% Tesla in 2026

BASE VALUATION INPUT

\$7.0bn EBITDA × 10.0x

08.3

Energy storage and solar (continued)

Business division deep dive — Profit engine.

CONSUMER PRICING SHOWS WHY INSTALLATION ECONOMICS MATTER

Powerwall 3 installed cost was estimated at USD 689 to USD 1,277 per kWh in 2026, far above the USD 70 per kWh stationary-pack benchmark. The difference includes the inverter, enclosure, software, installation labor, permitting, channel margin and warranty. Consumer-scale equipment also cannot be compared directly with bulk cells. This gap shows where value can be created or lost. At the low end, an installer can offer an attractive resilience product while retaining margin. At the high end, demand depends heavily on electricity tariffs, incentives and outage concerns. Tesla’s direct brand and integrated solar-plus-storage offer can reduce customer-acquisition and integration friction, but local permitting and installation capacity remain outside factory control.

UTILITY STORAGE AND RESIDENTIAL PRODUCTS CARRY DIFFERENT RISKS

Megapack-style utility projects provide large volumes, standardized hardware and potentially efficient factories, but customer concentration and contract timing can make quarterly revenue volatile. Powerwall has smaller tickets and a broader customer base, but adds installation, channel and regional-policy complexity. Solar can support storage sales but has historically been less differentiated than battery controls and grid services. The disclosed segment combines all three, so its 29.8% gross margin does not identify the source of incremental profit. The base case assumes storage remains the growth and margin engine, while solar supports customer acquisition rather than valuation. A shift toward low-margin project hardware would reduce EBITDA even if deployment rises.

MANUFACTURING SCALE AND BATTERY ALLOCATION DRIVE CAPACITY ECONOMICS

Tesla announced a USD 250 million Berlin investment supporting 18 GWh of annual 4680 cell production. At a USD 70 per kWh stationary-pack reference, 18 GWh equals USD 1.26 billion of cell value before yield, chemistry and end-use allocation. This is report arithmetic, not disclosed energy revenue. The same cells can supply vehicles or stationary storage, creating flexibility but also internal competition for capacity. If vehicle demand weakens, energy storage can absorb battery capacity and improve factory utilization. If robotaxi or vehicle demand rises sharply, internal allocation could limit Megapack growth unless cell capacity expands in parallel. Shared battery procurement is beneficial only if transfer pricing and capital allocation preserve division economics.

ENERGY STORAGE AND SOLAR FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 12,771m

MODEL ESTIMATE GROSS PROFIT

USD 3,802m

FY2025 EXTERNAL SALES

\$12.77bn

FY2025 GROSS MARGIN

29.8%

GLOBAL BESS INTEGRATOR SHARE

10% in 2025

STATIONARY PACK PRICE

\$70/kWh in 2025

US RESIDENTIAL BATTERY QUOTES

65% Tesla in 2026

BASE VALUATION INPUT

\$7.0bn EBITDA × 10.0x

08.3

Energy storage and solar (continued)

Business division deep dive — Profit engine.

THE MARGIN BRIDGE TO USD 7 BILLION EBITDA IS VISIBLE

FY2025 revenue was USD 12.771 billion and gross margin was 29.8%, producing USD 3.802 billion of gross profit. If revenue reaches USD 28 billion and gross margin remains 29.8%, gross profit would be approximately USD 8.34 billion. A USD 7.0 billion EBITDA outcome would then leave only about USD 1.34 billion for cash operating costs below gross profit. That is a very lean cost burden unless material expenses are allocated corporately or software and service mix improves. At a more conservative 25% EBITDA margin, USD 28 billion of revenue produces exactly USD 7.0 billion of EBITDA, but still requires gross margin near 30% and operating expenses near 5% of revenue. The report treats this as an upper-middle base assumption, not a certainty. At a 20% EBITDA margin, USD 28 billion of revenue yields USD 5.6 billion and value falls by USD 14 billion at 10.0x.

COMPARABLE VALUATION DOES NOT SUPPORT A SOFTWARE MULTIPLE

Fluence is the most focused listed storage comparator, but its forecast earnings are negative and its 2026 EV/Sales multiple is 0.7x, making EV/EBITDA unusable. Tesla's division is profitable, integrated with cell sourcing and exposed to consumer storage, so it merits more than a distressed integrator revenue multiple. A pure software multiple would ignore working capital, factories, cells, warranty and project execution. The selected 10.0x EBITDA is below Teradyne's 24.1x 2026 EV/EBITDA and the broad peer median of 13.0x, but above mature automotive manufacturing levels. It rewards growth and disclosed gross profitability while requiring cash conversion, not merely deployment volume.

ENERGY STORAGE AND SOLAR FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 12,771m

MODEL ESTIMATE GROSS PROFIT

USD 3,802m

FY2025 EXTERNAL SALES

\$12.77bn

FY2025 GROSS MARGIN

29.8%

GLOBAL BESS INTEGRATOR SHARE

10% in 2025

STATIONARY PACK PRICE

\$70/kWh in 2025

US RESIDENTIAL BATTERY QUOTES

65% Tesla in 2026

BASE VALUATION INPUT

\$7.0bn EBITDA × 10.0x

08.3

Energy storage and solar (continued)

Business division deep dive — Profit engine.

WHAT WOULD VALIDATE OR BREAK THE ENERGY VALUE

Validation requires revenue to more than double toward USD 28 billion while gross margin remains in the high twenties, storage deployments grow and cash conversion survives project working-capital swings. Continued top-three global integrator share, sustained Powerwall leadership and additional cell capacity would support this outcome. The value falls if the USD 70 per kWh cell environment triggers an integrator price war, if CATL or BYD captures most upstream economics, or if project mix pushes gross margin below 20%. At USD 28 billion of revenue, a 20% EBITDA margin and 8.0x multiple produce USD 44.8 billion of enterprise value, 36% below the USD 70 billion base. Conversely, USD 35 billion of revenue at a 28% EBITDA margin and 12.0x produces USD 117.6 billion. Manufacturing scale matters only if Tesla retains battery-cost savings and converts deployment into durable gross profit.

ENERGY STORAGE AND SOLAR FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
**USD 12,771m**

MODEL ESTIMATE GROSS PROFIT  
**USD 3,802m**

FY2025 EXTERNAL SALES  
**\$12.77bn**

FY2025 GROSS MARGIN  
**29.8%**

GLOBAL BESS INTEGRATOR SHARE  
**10% in 2025**

STATIONARY PACK PRICE  
**\$70/kWh in 2025**

US RESIDENTIAL BATTERY QUOTES  
**65% Tesla in 2026**

BASE VALUATION INPUT  
**\$7.0bn EBITDA × 10.0x**

| STORAGE MARKET SHARE, INPUT ECONOMICS AND PEER SIGNALS |                         |                           |                          |
|--------------------------------------------------------|-------------------------|---------------------------|--------------------------|
| COMPANY                                                | MARKET POSITION         | ECONOMICS/INPUT           | VALUATION SIGNAL         |
| Tesla                                                  | 10% BESS share, 2025    | 29.8% FY2025 gross margin | \$7bn EBITDA × 10x       |
| BYD                                                    | 13% BESS share, 2025    | Integrated battery scale  | Price and share pressure |
| Sungrow                                                | 9% BESS share, 2025     | Not in evidence           | Close third-place rival  |
| CATL                                                   | 27.1% ESS cells, H1-26  | \$70/kWh market backdrop  | Supplier-power benchmark |
| Enphase                                                | 16.6% US battery quotes | Residential focus         | Consumer-storage rival   |
| Fluence                                                | Utility-storage peer    | Negative 2026e EBIT       | 0.7x 2026e EV/Sales      |

08.4

Paid driver -assistance and connected software

Business division deep dive — Profit engine.

THE PRIZE IS RECURRING SOFTWARE REVENUE FROM MOBILITY SPENDING

Two MarketsandMarkets releases estimate the 2026 software-defined-vehicle market at USD 447.55 billion and USD 633.85 billion, a discrepancy too large to overlook. The report uses neither figure because both include hardware, architecture and services beyond Tesla's paid subscriptions. The useful opportunity is the share of Tesla's eligible fleet willing to pay for driver assistance, connectivity and upgrades. At 10 million cumulative vehicles produced by July 2026, every 10% of the fleet paying USD 99 per month would generate USD 1.19 billion of annual recurring revenue before churn and eligibility adjustments. The valuation requires USD 5 billion of target-year EBITDA, implying roughly USD 6.7 billion of revenue at a 75% EBITDA margin.

SUBSCRIBER EVIDENCE SUPPORTS A REAL PROFIT ENGINE

Tesla reached 1.48 million active FSD subscribers by Q2 2026, up 56% year over year, and reported a 55% subscription attach rate on new North American deliveries. At USD 99 per month, 1.48 million subscribers would imply USD 1.76 billion of gross annual billings if all paid the full price for twelve months. Third-party estimates of USD 66 million of monthly revenue, or USD 792 million annualized, imply an effective monthly yield of only about USD 44.60 per subscriber. The gap may reflect trials, legacy purchases, regional pricing, non-paying activations or differing definitions. The report therefore models FY2025 software revenue of USD 1.648 billion, comprising a USD 792 million recurring run-rate and approximately USD 856 million of annualized deferred FSD revenue recognition, twice the disclosed USD 428 million recognized in H1 2025.

DEFERRED REVENUE IMPROVES VISIBILITY BUT COMPLICATES DIVISION BOUNDARIES

The FSD deferred-revenue balance was USD 3.87 billion at 31 December 2025. Recognition depends on feature delivery and accounting judgments, not simply subscription cash collection, so deferred release is not the same as recurring subscription revenue. Automotive sales revenue of USD 65.821 billion includes recognized FSD Supervised software, while connectivity may sit within broader service pools. Tesla does not separately disclose Premium Connectivity revenue. The modelled division therefore combines identifiable subscription economics and deferred recognition, then removes the same amount from automotive. This is a valuation boundary, not a company-reported segment.

PAID DRIVER -ASSISTANCE AND CONNECTED SOFTWARE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 1,648m

MODEL ESTIMATE GROSS PROFIT

USD 1,236m

MODELLED FY2025 REVENUE

\$1.65bn

ACTIVE FSD SUBSCRIBERS

1.48m, Q2 2026

NORTH AMERICA ATTACH RATE

55% of Q2 deliveries

CURRENT SUBSCRIPTION PRICE

\$99/month

ANNUALIZED SUBSCRIPTION ESTIMATE

\$792m

DEFERRED FSD BALANCE

\$3.87bn at FY2025

BASE VALUATION INPUT

\$5.0bn EBITDA × 15.0x



08.4

Paid driver -assistance and connected software (continued)

Business division deep dive — Profit engine.

COMPETITIVE PRICING LIMITS UNLIMITED REVENUE PER USER

- Tesla charges USD 99 per month after ending the USD 8,000 outright purchase option for new North American vehicles in February 2026.
- Ford reduced BlueCruise to USD 49.99 per month or USD 495 annually, with a USD 2,495 lifetime option.
- Mercedes priced Drive Pilot at USD 2,500 annually but paused rollout in January 2026 because of development cost and limited demand.
- Huawei reduced its Qiankun ADS advanced package to CNY 15,000 after subsidies from July 2026.

Ford had 1.22 million BlueCruise-equipped vehicles globally. GM had approximately 750,000 Super Cruise-enabled vehicles across 23 North American models and expected 850,000 active subscribers by year-end 2026. These installed-unit figures are not directly comparable with Tesla's active subscribers, but they show paid assistance is becoming competitive rather than proprietary. GM software services reportedly retain about 70 cents of every revenue dollar, supporting the report's 75% mature EBITDA assumption as ambitious but possible. Tesla benefits from an integrated fleet and rapid over-the-air updates. Its disadvantage is that the product promise is tied to unsupervised autonomy expectations and legacy-hardware limits.

VALUE DEPENDS ON RETENTION, NOT ONE-QUARTER ATTACHMENT

A 55% North American attachment rate matters only if subscribers remain after trials and through product cycles. Reaching USD 6.7 billion of revenue at USD 99 per month requires approximately 5.64 million full-price subscriber-equivalents, calculated as USD 6.7 billion divided by USD 1,188 annually. At the estimated effective yield of USD 44.60 monthly, the same revenue requires approximately 12.5 million subscribers. The base case therefore assumes subscriber growth, higher effective yield, connectivity and deferred recognition, not simply extrapolation of the current count. Hardware 3's inability to support unsupervised driving may increase cancellations or legal remedies, but supervised features can retain value independently. The division merits 15.0x EBITDA, above automotive but below valuations assuming sustained hypergrowth.

PAID DRIVER-ASSISTANCE AND CONNECTED SOFTWARE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
USD 1,648m

MODEL ESTIMATE GROSS PROFIT  
USD 1,236m

MODELLED FY2025 REVENUE  
\$1.65bn

ACTIVE FSD SUBSCRIBERS  
1.48m, Q2 2026

NORTH AMERICA ATTACH RATE  
55% of Q2 deliveries

CURRENT SUBSCRIPTION PRICE  
\$99/month

ANNUALIZED SUBSCRIPTION ESTIMATE  
\$792m

DEFERRED FSD BALANCE  
\$3.87bn at FY2025

BASE VALUATION INPUT  
\$5.0bn EBITDA × 15.0x

08.4

Paid driver -assistance and connected software (continued)

Business division deep dive — Profit engine.

WHAT WOULD VALIDATE OR BREAK THE SOFTWARE VALUE

Validation requires active subscribers to exceed five million, effective revenue per subscriber to move toward the USD 99 list price, and retention to remain strong after the shift to subscription-only sales. Continued 50% -plus attachment would expand the installed base, while transparent recurring revenue and gross margin would reduce the boundary discount. The value falls if the 1.48 million figure includes many non-paying or discounted users, if Hardware 3 remedies consume deferred revenue, or if Ford and GM force lasting price reductions. At USD 50 of effective monthly revenue and five million subscribers, annual revenue is only USD 3.0 billion. At a 75% margin and 15.0x, value would be USD 33.8 billion. This downside shows why paid attachment and retention, rather than the global SDV market label, determine valuation.

PAID DRIVER -ASSISTANCE AND CONNECTED SOFTWARE FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

USD 1,648m

MODEL ESTIMATE GROSS PROFIT

USD 1,236m

MODELLED FY2025 REVENUE

\$1.65bn

ACTIVE FSD SUBSCRIBERS

1.48m, Q2 2026

NORTH AMERICA ATTACH RATE

55% of Q2 deliveries

CURRENT SUBSCRIPTION PRICE

\$99/month

ANNUALIZED SUBSCRIPTION ESTIMATE

\$792m

DEFERRED FSD BALANCE

\$3.87bn at FY2025

BASE VALUATION INPUT

\$5.0bn EBITDA × 15.0x

PAID DRIVER -ASSISTANCE PRICING AND ADOPTION

| PRODUCT              | PRICE           | INSTALLED/SUBSCRIBER SCALE | COMMERCIAL SIGNAL     |
|----------------------|-----------------|----------------------------|-----------------------|
| Tesla FSD            | \$99/month      | 1.48m active, Q2 -26       | 55% NA attach rate    |
| Ford BlueCruise      | \$49.99/month   | 1.22m equipped             | \$495 annual option   |
| GM Super Cruise      | Not in evidence | 750k enabled               | 850k subs target      |
| Mercedes Drive Pilot | \$2,500/year    | Not disclosed              | Rollout paused Jan-26 |
| Huawei ADS           | CNY15k package  | 77% third-party share      | China price pressure  |

08.5

Optimus general-purpose robotics

Business division deep dive — Emerging option.

THE PRIZE IS MANUAL-LABOR SPENDING, NOT TODAY’S HUMANOID MARKET

Humanoid robots could eventually compete for annual manual-labor spending measured in trillions of dollars. One broad industry analysis places the theoretical labor-displacement opportunity at USD 60 trillion. That is a ceiling, not an investable market, because much human work cannot be automated economically or legally within the forecast horizon. The labeled 2025 humanoid market is also disputed: Fortune Business Insights estimated USD 4.89 billion, while Grand View Research estimated USD 2.4 billion. Forecasts for 2035 range from USD 15 billion at Interact Analysis to USD 38 billion at Goldman Sachs. The valuation uses neither total labor spending nor the labeled market without a volume bridge. It models future EBITDA from industrial deployment and applies explicit success probabilities.

THE OPTION REQUIRES INDUSTRIAL SCALE, NOT HOUSEHOLD UBIQUITY

The lower success case assumes USD 8 billion of EBITDA in 2033, while the higher case assumes USD 25 billion. At a 30% EBITDA margin, these outcomes require approximately USD 26.7 billion and USD 83.3 billion of revenue. At an average USD 25,000 selling price, they imply roughly 1.1 million and 3.3 million annual unit-equivalents before service revenue. These volumes are far beyond current evidence and require automotive-style production, a global integrator ecosystem and repeat purchases. The report assigns a 25% probability to the lower case and 14% to the higher case, leaving a 61% zero-value failure outcome. The failure probability reflects technology, production, safety and customer-integration gates, not a lack of labor demand.

CURRENT OPERATIONAL EVIDENCE IS NARROW BUT RELEVANT

Tesla has confirmed three autonomous factory tasks: sorting 4680 battery cells, moving parts between stations and visual quality inspection. These tasks are useful because Tesla controls the factory environment, process design and training-data loop. They do not prove general-purpose operation, because repetitive cell sorting and parts movement can be engineered around a robot. Gen 3 reportedly has 22 degrees of freedom per hand and 50 total actuators, up from 11 hand degrees of freedom in Gen 2, expanding manipulation potential. The target payload is 20 kilograms in dynamic carry and approximately 68 kilograms in a deadlift. Missing evidence includes task cycle time, intervention frequency and mean time between failures, all necessary for labor-cost comparison.

OPTIMUS GENERAL-PURPOSE ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED LABOR OPPORTUNITY

Tens of trillions annually

LABELED 2025 MARKET RANGE

\$2.4bn–\$4.89bn

CONFIRMED AUTONOMOUS TASKS

3 factory tasks

TARGET SELLING PRICE

\$20,000–\$30,000

ESTIMATED CURRENT UNIT COST

\$50,000–\$100,000

OFFICIAL Q2 OUTPUT STATUS

Effectively zero

NEXT GATE

Reliable multi-task external deployment

08.5

Optimus general-purpose robotics (continued)

Business division deep dive — Emerging option.

PRODUCTION CLAIMS CONFLICT, SO THE OFFICIAL UPDATE CARRIES MORE WEIGHT

One secondary report claimed mass production began on 21 January 2026 and exceeded 1,000 units by mid-year. Other estimates put internal deployment above 1,000 units, while a separate external estimate suggested fewer than 100. Tesla's Q2 2026 update said output remained effectively zero because first-generation lines were still being installed, with production expected later in the year. The report uses the official statement and treats higher counts as prototypes, development units, misclassification or unverified reporting. This distinction matters economically: a training fleet is not saleable output, and unit count without utilization does not establish revenue capacity. Fremont's former Model S/X line is being converted for Optimus production, demonstrating capital commitment but not production yield.

LABOR ECONOMICS CAN BE POWERFUL IF RELIABILITY IS HIGH

Loaded annual labor cost for a US manufacturing worker was estimated at USD 95,000 to USD 156,000, while Optimus operating-cost estimates ranged from USD 2 to USD 10 per hour. A robot operating 20 hours per day would provide 7,300 hours annually, equal to approximately 3.5 standard 2,080-hour shifts. At USD 10 per hour, operating expense would be USD 73,000 before depreciation, maintenance, supervision and integration. Adding a USD 25,000 purchase price depreciated over five years takes this to USD 78,000, potentially below one loaded worker and far below three shifts. At the estimated current manufacturing cost of USD 50,000 to USD 100,000, depreciation and support could remove that advantage. Utilization and autonomy matter more than the purchase-price target.

TESLA'S TARGET PRICE IS NOT YET ITS ESTIMATED COST

Tesla targets an at-scale selling price of USD 20,000 to USD 30,000, while current R&D-phase manufacturing cost is estimated at USD 50,000 to USD 100,000 per unit. Reaching the target requires at least a 40% cost reduction from the low end and up to 80% from the high end merely to sell at USD 30,000 without a gross loss. Unitree's G1 is available to developers from approximately USD 16,000, showing that a low sticker price is not unique, although capability and industrial durability differ. Agility's Digit is offered at approximately USD 8,500 per month, or USD 102,000 annualized, under a service model that bundles support and uptime. Tesla must compete on productive output per dollar, not hardware price alone.

OPTIMUS GENERAL - PURPOSE ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED LABOR OPPORTUNITY

Tens of trillions annually

LABELED 2025 MARKET RANGE

\$2.4bn-\$4.89bn

CONFIRMED AUTONOMOUS TASKS

3 factory tasks

TARGET SELLING PRICE

\$20,000-\$30,000

ESTIMATED CURRENT UNIT COST

\$50,000-\$100,000

OFFICIAL Q2 OUTPUT STATUS

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NEXT GATE

Reliable multi-task external deployment

08.5

Optimus general-purpose robotics (continued)

Business division deep dive — Emerging option.

COMPETITORS OFFER MORE AUDITABLE DEPLOYMENT BENCHMARKS

- AgiBot held 44% of global humanoid shipments in H1 2026, while Unitree held 31%.
- China-based manufacturers represented an estimated 97% of H1 2026 humanoid shipments, while North America held 43.4% of 2025 market revenue under a different market definition.
- Figure 02 logged 1,250 runtime hours and moved 90,000 parts at BMW between November 2025 and June 2026.
- Agility Digit moved more than 100,000 totes in a live GXO Logistics deployment.

The 97% shipment share and 43.4% North American revenue share are not contradictory because one measures units in H1 2026 and the other measures revenue in 2025. They indicate that Chinese vendors dominate lower-cost volume, while North American firms command higher development valuations and contract revenue. Figure's documented runtime and parts movement provide the operating evidence Tesla has not disclosed. Agility's tote milestone likewise shows a narrow but live commercial workflow. Tesla's advantages are manufacturing scale and internal demand; externally verifiable deployment evidence remains thinner. Option probability should rise only when productive hours, failure rates and customer economics become comparable.

GENERAL - PURPOSE CAPABILITY MUST OVERCOME INTEGRATION FRICTION

Sixty-one percent of surveyed industrial organizations identified integration with existing systems as a primary barrier to humanoid adoption. A robot must connect with warehouse software, safety systems, tooling, charging, maintenance and production scheduling. Tesla can simplify internal integration by redesigning its own processes, but external customers may not adapt factories around Optimus without proven savings. The July 2026 acquisition of a Virtuix Omni One Enterprise teleoperation system indicates use of human-controlled data generation. That is rational during training, but it also shows autonomy is incomplete. Teleoperation can resolve edge cases, yet frequent remote assistance changes the labor-displacement economics. The key measure is autonomous productive minutes per paid support minute, which Tesla does not disclose.

OPTIMUS GENERAL - PURPOSE ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED LABOR OPPORTUNITY

Tens of trillions annually

LABELED 2025 MARKET RANGE

\$2.4bn-\$4.89bn

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NEXT GATE

Reliable multi-task external deployment

08.5

Optimus general-purpose robotics (continued)

Business division deep dive — Emerging option.

SAFETY AND REGULATION CREATE A SEPARATE COMMERCIAL GATE

A reported near-miss involved an Optimus unit dropping a battery module in a restricted Fremont area, although no major human injury incidents were reported in commercial humanoid deployments through early 2026. One event does not establish an unacceptable safety rate, but it shows the consequences of heavy mobile machines operating near people. EU Regulation 2023/1230 and ISO 10218:2025 become central to CE-marked robot compliance from 20 January 2027. The EU AI Act also classifies autonomous humanoid robots as high-risk systems, with full compliance required for European access from August 2027. These rules require risk assessment, safeguards, documentation and monitoring. A robot that operates only behind fences may still be valuable, but its task range and general-purpose claim would be narrower.

THE VALUATION MULTIPLE RECOGNIZES INDUSTRIAL QUALITY AND OPTION RISK

The option cases use 18.0x EBITDA, below Teradyne’s 24.1x 2026 EV/EBITDA and Fanuc’s 29.0x, but above conventional manufacturing. These listed companies have positive, diversified automation revenue and established service organizations, while Optimus is pre-revenue. Probability weighting, rather than an artificially low multiple, captures most pre-commercial risk. Figure AI’s reported USD 39 billion private valuation shows investor willingness to value humanoid potential, but private funding valuation is not a substitute for unit economics. Discounting future EBITDA from 2033 also recognizes the time needed to build production and customer deployment. This produces material option value without assuming Tesla captures the labor market.

OPTIMUS GENERAL - PURPOSE  
ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

DISPLACED LABOR OPPORTUNITY

Tens of trillions annually

LABELED 2025 MARKET RANGE

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Effectively zero

NEXT GATE

Reliable multi-task external  
deployment

08.5

Optimus general-purpose robotics (continued)

Business division deep dive — Emerging option.

WHAT WOULD VALIDATE OR BREAK THE ROBOTICS OPTION

Validation requires saleable output, several thousand externally deployed units, documented productive hours and reliable completion of multiple tasks without continuous teleoperation. Cost must fall below USD 30,000 while price remains sufficient for positive gross margin, and customers must show payback against loaded labor and integration costs. A useful intermediate gate would be 7,300 annual operating hours at more than 90% scheduled uptime, with disclosed interventions and safety incidents. The option falls if Tesla can automate only three tightly engineered factory tasks, if current USD 50,000 to USD 100,000 cost persists, or if integration requires dedicated human supervision. At a USD 50,000 price and only 100,000 annual units, revenue would be USD 5 billion, far below the USD 26.7 billion lower success case. The key evidence is economically useful multi-task reliability, not staged dexterity demonstrations.

OPTIMUS GENERAL - PURPOSE ROBOTICS FACT SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

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DISPLACED LABOR OPPORTUNITY

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OFFICIAL Q2 OUTPUT STATUS

Effectively zero

NEXT GATE

Reliable multi-task external deployment

HUMANOID DEPLOYMENT, PRICE AND COMMERCIALIZATION EVIDENCE

| OPERATOR      | DEPLOYMENT EVIDENCE  | PRICE/ECONOMICS    | COMMERCIAL STATUS         |
|---------------|----------------------|--------------------|---------------------------|
| Tesla Optimus | 3 confirmed tasks    | \$20k-\$30k target | Official output near zero |
| Figure 02     | 90k parts; 1,250 hrs | Est. >\$100k/unit  | BMW factory trial         |
| Agility Digit | >100k totes at GXO   | \$8,500/month      | Service deployment        |
| Unitree G1    | Developer platform   | From \$16,000      | Commercially available    |
| AgiBot        | 44% H1-26 shipments  | Not in evidence    | Shipment leader           |

08.6

Supercharging network

Business division deep dive — Profit engine.

THE PRIZE IS A SHARE OF ROAD-FUEL SPENDING

The global EV-charging-station market was estimated at USD 22.93 billion in 2026 and projected to grow at 25.37% annually through 2034 by Safe Electric in July 2026. Road fuel is the incumbent expenditure pool, but estimates of the 2026 gasoline market vary sharply: Grand View Research put it near USD 1.8 trillion, while Process Integration estimated USD 140.36 billion. The definitions clearly differ by geography, product scope or value-chain stage, so the report does not average them. Charging valuation uses connectors, energy throughput and tariff evidence rather than a share of gasoline spending. Tesla needs only a small share of transport-energy spending, but it must earn that share after electricity, rent, maintenance, payment and capital costs.

THROUGHPUT PER CONNECTOR IS THE DECISIVE BRIDGE

Tesla’s network reached an estimated 82,357 connectors by Q2 2026, and average daily throughput exceeded 268 kWh per stall in Q3 2025. Together, these figures imply approximately 22.1 GWh per day and 8.06 TWh per year if connector count and throughput are simultaneously representative. At USD 0.43 per kWh, gross customer billings would be USD 3.47 billion. At USD 0.35 per kWh, they would be USD 2.82 billion. This supports the independent USD 3.6 billion FY2025 paid-charging revenue estimate as plausible, though it is not company-reported. It also shows why normalized throughput matters more than station count. A low-utilization connector can expand coverage while reducing near-term returns.

THE REVENUE BOUNDARY IS MODELLED FROM A DISCLOSED POOL

Tesla reported USD 12.530 billion of FY2025 Services and Other revenue, including paid Supercharging, used vehicles, maintenance, collision repair and insurance. The report assigns USD 3.600 billion to paid charging using the cited annual run-rate estimate and retains approximately USD 8.930 billion of residual services in automotive. Free Supercharging costs are allocated to Automotive cost of revenue, while paid sessions sit in Services and Other cost of revenue, making gross-margin reconstruction difficult. The report models USD 720 million of current gross profit at a 20% margin and does not present it as reported profit. This avoids assigning zero revenue to a functioning network or double counting with automotive.

SUPERCHARGING NETWORK  
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
USD 3,600m

MODEL ESTIMATE GROSS PROFIT  
USD 720m

MODELLED FY2025 REVENUE  
\$3.60bn

GLOBAL CONNECTORS  
82,357 in Q2 2026

DAILY ENERGY PER STALL  
>268 kWh

PEAK NA UTILIZATION  
10 sessions/stall/day

MARYLAND PEAK TARIFF  
\$0.43/kWh

BUSINESS PLATFORM FEE  
\$0.10/kWh

BASE VALUATION INPUT  
\$2.0bn EBITDA × 12.0x



08.6

Supercharging network (continued)

Business division deep dive — Profit engine.

UTILIZATION EVIDENCE SUPPORTS ATTRACTIVE MATURE SITES

North American Superchargers reached a peak of ten sessions per stall per day in 2025. If the average session delivers 26.8 kWh, ten sessions exactly reconcile to 268 kWh of daily throughput. This is report arithmetic and indicates that the two utilization disclosures are economically consistent. At USD 0.43 per kWh, a stall would generate approximately USD 115 of daily revenue and USD 42,100 annually. At USD 0.35 per kWh, annual revenue would be approximately USD 34,200. These are averages before idle fees and membership economics. Site-level outcomes will vary widely because highway, urban, destination and new locations ramp differently.

CAPITAL COST DIFFERS SHARPLY BY OWNERSHIP MODEL

Tesla's internal V4 infrastructure cost was projected below USD 40,000 per stall, while Supercharger for Business quoted USD 940,000 all-in for a standard eight-stall site. The latter equals USD 117,500 per stall and includes hardware and installation for a third-party host, so it is not directly comparable with Tesla's internal equipment cost. At USD 42,100 of annual revenue per stall, simple revenue payback is under one year on USD 40,000 of infrastructure and 2.8 years on USD 117,500, before electricity and operating costs. At a 30% gross contribution margin, capital payback extends to approximately 3.2 years and 9.3 years, respectively. This makes site selection and host economics as important as manufacturing cost.

OPENING THE NETWORK EXPANDS DEMAND AND INCREASES SERVICE OBLIGATIONS

SAE finalized J3400, based on Tesla's North American Charging Standard, in September 2024. Standardization reduces integration friction for other vehicle brands and could make Tesla's network a default fast-charging venue. More compatible vehicles can increase paid throughput, particularly where Tesla has superior density and reliability. They also create congestion risk for Tesla owners and require adapter, payment and vehicle-software integration. Value rises if non-Tesla traffic fills off-peak capacity without requiring disproportionate investment. It falls if peak congestion requires costly capacity that remains underused outside travel periods.

SUPERCHARGING NETWORK  
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
USD 3,600m

MODEL ESTIMATE GROSS PROFIT  
USD 720m

MODELLED FY2025 REVENUE  
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10 sessions/stall/day

MARYLAND PEAK TARIFF  
\$0.43/kWh

BUSINESS PLATFORM FEE  
\$0.10/kWh

BASE VALUATION INPUT  
\$2.0bn EBITDA × 12.0x

08.6

Supercharging network (continued)

Business division deep dive — Profit engine.

THE BUSINESS PROGRAM ADDS A CAPITAL -LIGHT FEE LAYER

Tesla charges businesses using Supercharger for Business USD 0.10 per kWh for software, billing and network operations. At 268 kWh per stall per day, this generates approximately USD 9,782 of annual platform revenue per stall. Across an eight-stall site, this is about USD 78,300 annually before equipment economics. The model can create a capital-light network layer when a host funds the USD 940,000 site, although the host must earn an acceptable return after electricity and Tesla's fee. The platform opportunity should earn more than owned energy resale, but it remains too small and early to value separately. The base multiple reflects a blend of owned infrastructure and platform economics.

COMPETITION IS MEASURABLE, BUT THE REQUESTED GLOBAL SHARE RANKING IS INCOMPLETE

- Electrify America held an estimated 7.9% of US DC fast-charging ports in mid-2026.
- ChargePoint held an estimated 6.9% of US DC fast-charging ports over the same period.
- Tesla had 82,357 estimated global connectors, but the register did not provide a directly comparable US port-share percentage.
- J3400 standardization strengthens Tesla's connector position without ensuring pricing power.

The missing Tesla US share prevents a clean ranked market-share table with a single denominator. Connector count is also an imperfect measure because charging speed, uptime, location and throughput vary. Electrify America is a direct highway fast-charging competitor, while ChargePoint's broader model includes host-owned hardware and software. Tesla combines owned-network economics, support for vehicle sales and third-party platform fees. This integration creates strategic value but complicates standalone profitability. The valuation therefore relies on throughput and EBITDA rather than an unsupported market-share premium.

THE ROUTE TO USD 2 BILLION OF EBITDA IS DEMANDING BUT MEASURABLE

The base bridge uses USD 2.0 billion of target-year EBITDA and 12.0x, producing USD 24 billion of enterprise value. At a 30% EBITDA margin, revenue must reach USD 6.67 billion. At USD 0.40 per kWh, this requires 16.7 TWh of annual paid energy, approximately double the 8.06 TWh run-rate derived from current connectors and throughput. Tesla could achieve this by doubling connectors at unchanged throughput, doubling throughput on the existing base, raising price, adding business-platform fees, or combining these levers. A more realistic mix, 120,000 connectors at 320 kWh daily and USD 0.40 per kWh, would produce about USD 5.61 billion of energy billings before ancillary fees. The balance would require platform, access or higher tariff revenue.

SUPERCHARGING NETWORK  
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
USD 3,600m

MODEL ESTIMATE GROSS PROFIT  
USD 720m

MODELLED FY2025 REVENUE  
\$3.60bn

GLOBAL CONNECTORS  
82,357 in Q2 2026

DAILY ENERGY PER STALL  
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MARYLAND PEAK TARIFF  
\$0.43/kWh

BUSINESS PLATFORM FEE  
\$0.10/kWh

BASE VALUATION INPUT  
\$2.0bn EBITDA × 12.0x

08.6

Supercharging network (continued)

Business division deep dive — Profit engine.

MARGIN DEPENDS ON THE ELECTRICITY SPREAD

At a USD 0.40 retail tariff and assumed all-in electricity cost of USD 0.20 per kWh, the energy gross spread is USD 0.20, or 50%, before site rent, maintenance, network operations and depreciation. If electricity cost rises to USD 0.28 without tariff recovery, spread falls to USD 0.12, or 30%. After overhead and depreciation, EBITDA margin could fall from roughly 30% to the mid-teens. Tesla does not disclose national average electricity procurement cost or charging net margin, so these are report assumptions. Dynamic pricing can protect returns but may reduce customer preference where competing networks are available. The key variable is normalized paid energy throughput multiplied by net spread, not the headline tariff.

STRATEGIC VALUE SHOULD NOT BE DOUBLE COUNTED

Supercharging supports vehicle demand by reducing range anxiety and may improve Tesla retention even when sessions are free or low margin. That strategic benefit partly belongs in automotive pricing and volume, while paid-session cash flow belongs here. The report values only modeled charging EBITDA and adds no separate brand or ecosystem premium. Free-charging costs remain in automotive COGS, consistent with the disclosed accounting boundary. Opening the network to non-Tesla vehicles may reduce exclusivity but improve standalone utilization. The division can therefore become more valuable financially even as its vehicle moat narrows.

SUPERCHARGING NETWORK  
FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
USD 3,600m

MODEL ESTIMATE GROSS PROFIT  
USD 720m

MODELLED FY2025 REVENUE  
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10 sessions/stall/day

MARYLAND PEAK TARIFF  
\$0.43/kWh

BUSINESS PLATFORM FEE  
\$0.10/kWh

BASE VALUATION INPUT  
\$2.0bn EBITDA × 12.0x

08.6

# Supercharging network (continued)

Business division deep dive — Profit engine.

## WHAT WOULD VALIDATE OR BREAK THE CHARGING VALUE

Validation requires annual energy throughput to approach 17 TWh, connector utilization to remain at or above 268 kWh per day as the network grows, and EBITDA margin to reach approximately 30%. Host-funded deployment with USD 0.10 per-kWh platform fees would improve capital efficiency. The value falls if new sites dilute utilization, electricity costs cannot be passed through, or competitors secure the best locations. At USD 6.67 billion of revenue and an 18% margin, EBITDA would be USD 1.2 billion and value USD 14.4 billion at 12.0x, 40% below base. Conversely, 20 TWh at USD 0.42 per kWh produces USD 8.4 billion of billings; a 35% margin and 14.0x would support USD 41.2 billion. The network is valuable, but current disclosure does not support treating it as a toll road with guaranteed utilization.

## SUPERCHARGING NETWORK FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE  
**USD 3,600m**

MODEL ESTIMATE GROSS PROFIT  
**USD 720m**

MODELLED FY2025 REVENUE  
**\$3.60bn**

GLOBAL CONNECTORS  
**82,357 in Q2 2026**

DAILY ENERGY PER STALL  
**>268 kWh**

PEAK NA UTILIZATION  
**10 sessions/stall/day**

MARYLAND PEAK TARIFF  
**\$0.43/kWh**

BUSINESS PLATFORM FEE  
**\$0.10/kWh**

BASE VALUATION INPUT  
**\$2.0bn EBITDA × 12.0x**

## FAST-CHARGING SCALE, TARIFF AND BUSINESS-MODEL COMPARISON

| NETWORK/OPERATOR   | SCALE/SHARE             | PRICE/ECONOMICS      | BUSINESS MODEL         |
|--------------------|-------------------------|----------------------|------------------------|
| Tesla              | 82,357 connectors Q2-26 | \$0.43/kWh MD peak   | Owned + host platform  |
| Electrify America  | 7.9% US DC ports        | Not in evidence      | Fast-charging operator |
| ChargePoint        | 6.9% US DC ports        | Not in evidence      | Host hardware/software |
| Gasoline incumbent | \$140bn–\$1.8tn market  | Definitions conflict | Displaced road fuel    |

## CORE ANALYSIS · CROSS-DIVISION BRIDGE

## Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Automotive provides fleet data, customer relationships and manufacturing scale to software, charging and robotaxi. Software improves vehicle lifetime economics, but consumer FSD revenue is kept separate from driverless-network value to avoid valuing the same code twice.

Energy and vehicles compete for cells but benefit from shared procurement and power electronics. Charging supports automotive demand, but only paid-session economics are valued in charging; free-session costs remain in automotive.

Automotive cash flow funds robotaxi and Optimus before either option is self-financing. Fremont's Model S/X line conversion shows that optionality can consume current capacity and capital rather than arriving at no cost.

**BRIDGE MECHANICS**

Profit engines are valued using modeled target EBITDA and explicit multiples. Pre-revenue options use future EBITDA, success probabilities and zero-value failure outcomes, then are discounted from their scale year.

Tesla trades at 104.31x 2026 EV/EBITDA and 186.60x EV/EBIT, versus peer medians of 13.0x and 18.5x. Its normalized historical EV/EBITDA is 101.83x, but that history reflects repeated enthusiasm for options rather than mature cash economics.

The followed forecast produces USD 12.4 billion of 2026 EBITDA and USD 3.5 billion of FCFF. The market-implied DCF instead requires USD 36.6 billion of EBITDA in 2026 and USD 61.4 billion in 2027 despite declining revenue.

The reverse case takes EBIT margin from 33.1% to 59.4% in one year and ultimately to 64.0%. That requires software and autonomous networks to dominate while the current revenue base remains manufacturing-heavy.

The SOTP target assigns material value to robotaxi and Optimus. The disagreement is over timing and probability, not whether the options exist.

## CORE ANALYSIS · SCENARIOS &amp; VERDICT

## 10

## Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The bear scenario assumes continued automotive pricing pressure, normalized energy margins, lower charging utilization and no commercially meaningful EBITDA from either pre-revenue option. Revenue is approximately USD 90 billion and EBITDA USD 8 billion, with option legs effectively zero.

The base scenario assumes automotive recovery through utilization, more than doubling energy revenue while retaining strong gross profitability, expanding software subscriber-equivalents, and roughly doubling charging energy throughput. Robotaxi and Optimus contribute probability-weighted option values, not consolidated near-term revenue.

The bull scenario assumes California and other strict jurisdictions permit scalable driverless operations, Tesla approaches its robotaxi cost target, Optimus achieves reliable external deployment, and profit engines fund expansion without balance-sheet stress. Revenue rises to USD 250 billion and EBITDA to USD 100 billion, with materially stronger cash accumulation than in the base case.

## BOTTOM LINE

**Tesla owns several assets that could reinforce one another, but the share price assumes favorable interaction before key safety, permission, margin and production gates are independently proven. The USD 161.7 target is not automotive-only: it includes substantial software, energy, charging, robotaxi and robotics value. The SELL call reflects the fact that the current market capitalization requires success probabilities and group margins not yet supported by operating evidence.**

FINANCIAL BRIDGE · PART 1

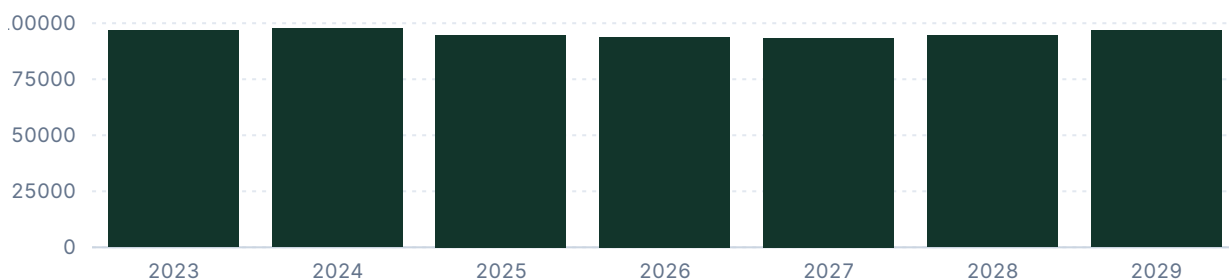
## Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

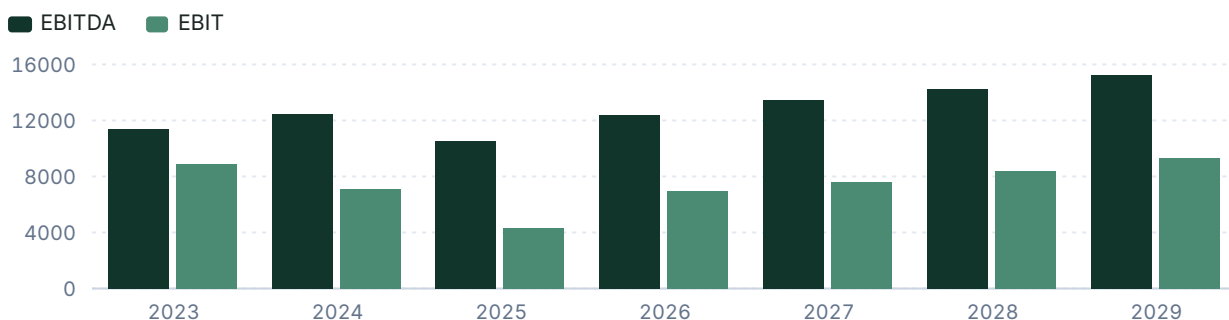
### Net sales

USD millions



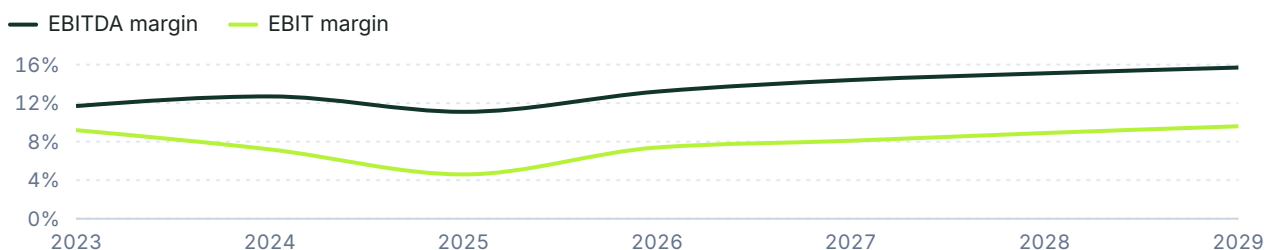
### EBITDA & EBIT

USD millions



### EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

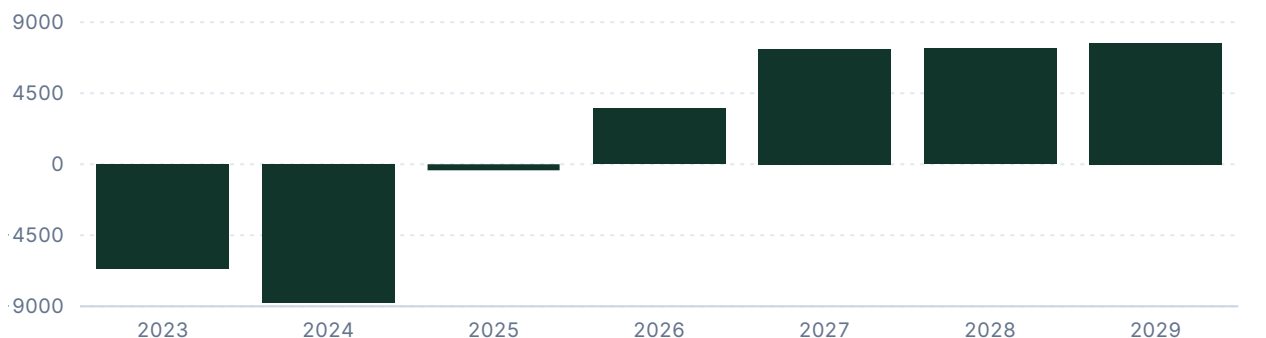
15

## Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

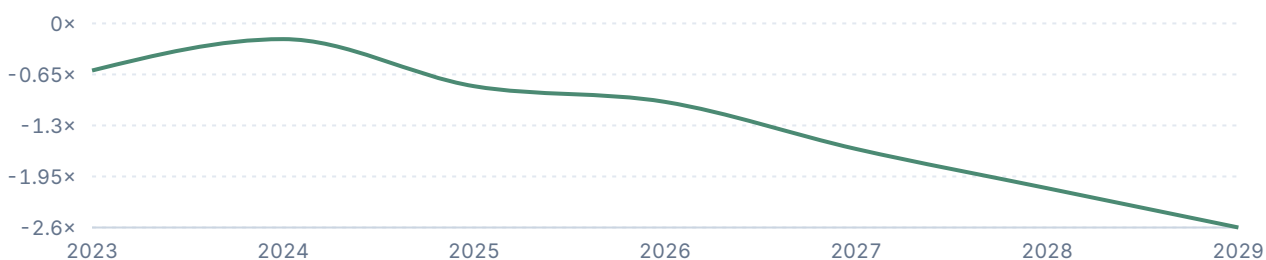
### Free cash flow

USD millions



### Net debt / EBITDA

Ratio



### KEY FINANCIALS

|                     | 2025         | 2026         | 2027         | 2028         | 2029          |
|---------------------|--------------|--------------|--------------|--------------|---------------|
| Net Sales           | 94,827       | 93,869       | 93,420       | 94,524       | 96,676        |
| EBITDA              | 10,503       | 12,423       | 13,470       | 14,245       | 15,209        |
| Comparable EBIT     | 4,355        | 6,944        | 7,610        | 8,413        | 9,308         |
| <b>Net Earnings</b> | <b>3,855</b> | <b>7,296</b> | <b>8,208</b> | <b>9,551</b> | <b>11,135</b> |
| EPS (USD)           | 1.2          | 2.3          | 2.6          | 3            | 3.5           |
| DPS (USD)           | 0            | 0            | 0            | 0            | 0             |



## VALUATION

## Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is necessary because automotive, software, charging and energy have different margins and capital intensity, while robotaxi and Optimus are pre-revenue options. Profit engines use target EBITDA multiples inside relevant manufacturing, mobility and automation brackets; options use future EBITDA, explicit success probabilities and discounted scale years.

The target is the probability-weighted parts sum. A group EV/EBITDA sensitivity is shown only as an equivalent cross-check: it demonstrates how quickly value changes when aggregate EBITDA or the capitalization rate moves, but it does not replace the division bridge.

What the market is pricing.

The current USD 1,295.8bn EV exceeds the report's USD 409bn undiscounted profit-engine value by about USD 886.8bn. Using the same discounted option scale values, the quote requires roughly 95% combined weighted success across the robotaxi and Optimus high-value legs, versus approximately 88 percentage points of stated leg probability in the base bridge and substantial failure remainders. It effectively prices broad success rather than optionality.

The market assumes Rapid transition to software-like group margins, including 59.4% EBIT margin in 2027. We assign a different reading: The followed model reaches 8.1%; automotive margin and capex evidence do not support the market-implied transition speed. (Tesla Q2 2026 update and MLQ.ai, July–August 2026: 16.3% automotive gross margin ex-credits and \$5.8bn quarterly capex.)

The market assumes Driverless permission and safety scale are close to nationwide replication. We assign a different reading: Texas supports a positive option, but California's with-driver-only status and limited comparable rider-only evidence require a majority failure allowance. (California DMV, 12 August 2026; Waymo comparison, 21 April 2026.)

The market assumes Optimus can move directly from prototypes to high-volume, positive-margin production. We assign a different reading: Official near-zero output, \$50,000–100,000 estimated cost and missing reliability metrics justify probability weighting rather than a mature robotics value. (Tesla Q2 2026 update, 22 July 2026; Optimus cost estimate, June 2026.)

Two enterprise values, two questions. The division pages allocate today's market enterprise value across the divisions; the target-price bridge states what each is worth on this report's own estimates. For Unsupervised autonomy and robotaxi network the two readings are 259.2 billion allocated and 159.3 billion warranted.

### HISTORICAL AND FORECAST MULTIPLES

| METRIC    | 2020A    | 2021A    | 2022A    | 2023A    | 2024A    | 2025A     | 2026E   | NORM. AVG.<br>2020-2025<br>(OUTLIERS<br>DROPPED) |
|-----------|----------|----------|----------|----------|----------|-----------|---------|--------------------------------------------------|
| P/E       | 763.78x  | 184.52x  | 30.57x   | 52.65x   | 180.49x  | 376.22x   | 145.24x | 112.06x                                          |
| P/E adj.  | 764x     | 185x     | 31x      | 53x      | 180x     | 376x      | 145x    | 112x                                             |
| EV/EBITDA | 161.11x  | 114.67x  | 22.14x   | 69.91x   | 104.64x  | 138.54x   | 104.31x | 101.83x                                          |
| EV/EBIT   | 348.72x  | 165.84x  | 28.22x   | 89.30x   | 184.02x  | 334.11x   | 186.60x | 191.70x                                          |
| EV/Sales  | —        | 20.10x   | 4.73x    | 8.20x    | 13.33x   | 15.34x    | 13.80x  | 12.34x                                           |
| P/FCF     | 1841.87x | 2055.23x | 9835.96x | -118.91x | -146.87x | -3785.32x | 300.79x | 1948.55x                                         |

VALUATION

## Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

| PEER COMPARISON  |                 |                |                   |
|------------------|-----------------|----------------|-------------------|
| COMPANY / COHORT | 2026E EV/EBITDA | 2026E EV/SALES | 2026E EBIT MARGIN |
| Tesla            | 104.31x         | 13.80x         | 7.4%              |
| Peer median      | 13.0x           | 1.7x           | 7.5%              |
| General Motors   | 6.0x            | 0.8x           | 7.3%              |
| Alphabet         | 14.3x           | 8.8x           | 47.4%             |
| Uber             | 13.0x           | 2.6x           | 14.1%             |
| Teradyne         | 24.1x           | 6.3x           | 22.1%             |
| Fanuc            | 29.0x           | 8.0x           | 21.8%             |
| Fluence          | -2.3x           | 0.7x           | -30.8%            |

| TARGET PRICE BRIDGE                                                 |                              |              |                   |                           |           |
|---------------------------------------------------------------------|------------------------------|--------------|-------------------|---------------------------|-----------|
| METHOD                                                              | FORECAST METRIC              | METRIC VALUE | SELECTED MULTIPLE | IMPLIED PRICE (12M DISC.) | WEIGHT    |
| · Automotive manufacturing and leasing                              | 2030E Modelled division ...  | 24,000       | 10.0x             | 60.8 → 46.6 USD           |           |
| · Paid driver-assistance and connected software                     | 2030E Modelled division ...  | 5,000        | 15.0x             | 19.0 → 14.6 USD           |           |
| · Supercharging network                                             | 2030E Modelled division ...  | 2,000        | 12.0x             | 6.1 → 4.7 USD             |           |
| · Energy storage and solar                                          | 2030E Modelled division ...  | 7,000        | 10.0x             | 17.7 → 13.6 USD           |           |
| · Unsupervised autonomy and robotaxi network (probability-weighted) | Expected enterprise value    | n/a          | n/a               | 40.3 USD                  |           |
| · · scaled regional network                                         | 2032E Modelled network ...   | 20,000       | 16.0x             | 81.0 → 15.6 USD           | 30% prob. |
| · · national scale                                                  | 2032E Modelled network ...   | 50,000       | 16.0x             | 202.6 → 24.7 USD          | 19% prob. |
| · Optimus general-purpose robotics (probability-weighted)           | Expected enterprise value    | n/a          | n/a               | 14.7 USD                  |           |
| · · industrial adoption                                             | 2033E Modelled robotics ...  | 8,000        | 18.0x             | 36.5 → 5.4 USD            | 25% prob. |
| · · broad multi-task scale                                          | 2033E Modelled robotics ...  | 25,000       | 18.0x             | 113.9 → 9.4 USD           | 14% prob. |
| Sum of the parts                                                    | Present value Probability... | n/a          | n/a               | 135.0 USD                 | 100%      |
| Weighted target price                                               |                              |              |                   | 135.0 USD                 | 100%      |

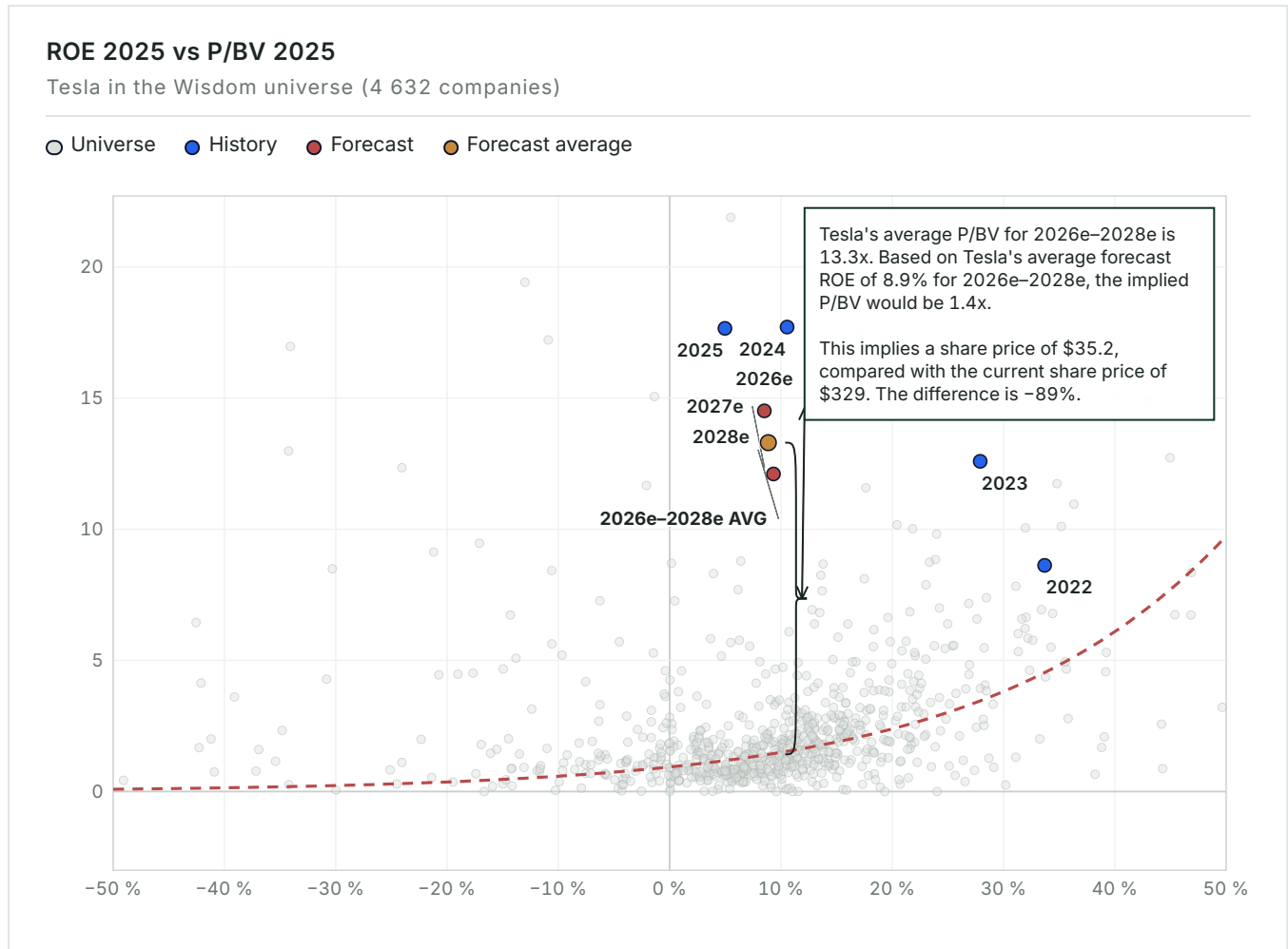
| SENSITIVITY — IMPLIED SHARE PRICE                              |       |       |       |       |       |
|----------------------------------------------------------------|-------|-------|-------|-------|-------|
| UNSUPERVISED AUTONOMY AND ROBOTAXI NETWORK SUCCESS PROBABILITY | 11.2X | 13.6X | 16.0X | 18.4X | 20.8X |

VALUATION MAP

## ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Tesla's average 2026–2028 forecast ROE is 8.9%, against an average 13.3x P/BV. Across the 4,632-company universe, that ROE maps to approximately 1.4x P/BV, or USD 35.2 per share on USD 24.8 average forecast book value per share. The 89% gap to the current price confirms that conventional return on equity explains little of Tesla's valuation. Investors are principally paying for future option economics.

## MULTIPLES &amp; SENSITIVITY

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## Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

| FORWARD MULTIPLES |        |
|-------------------|--------|
|                   | 2026   |
| P/E               | 145.2× |
| EV/EBITDA         | 104.3× |
| EV/EBIT           | 186.6× |
| P / Valuatum FOCF | 300.8× |
| P/BV              | 14.5×  |
| Dividend Yield    | —      |
| Net Debt / EBITDA | -1.0×  |

| EBITDA × EV/EBITDA sensitivity                       |                                |                                |                                |                                |                                |
|------------------------------------------------------|--------------------------------|--------------------------------|--------------------------------|--------------------------------|--------------------------------|
| TARGET EBITDA<br>(USDM)<br>Equivalent<br>EV/EBITDA → | 10.5×                          | 11.5×                          | 12.5×                          | 13.5×                          | 14.5×                          |
| -20%<br>USD 9,938m                                   | USD 104,349m<br>USD 26.90 / sh | USD 114,287m<br>USD 29.40 / sh | USD 124,225m<br>USD 31.90 / sh | USD 134,163m<br>USD 34.50 / sh | USD 144,101m<br>USD 37.00 / sh |
| -10%<br>USD 11,181m                                  | USD 117,401m<br>USD 30.20 / sh | USD 128,582m<br>USD 33.00 / sh | USD 139,763m<br>USD 35.90 / sh | USD 150,944m<br>USD 38.70 / sh | USD 162,125m<br>USD 41.50 / sh |
| Base<br>USD 12,423m                                  | USD 130,442m<br>USD 33.50 / sh | USD 142,865m<br>USD 36.70 / sh | USD 155,288m<br>USD 39.80 / sh | USD 167,711m<br>USD 42.90 / sh | USD 180,134m<br>USD 46.10 / sh |
| +10%<br>USD 13,665m                                  | USD 143,483m<br>USD 36.80 / sh | USD 157,148m<br>USD 40.30 / sh | USD 170,813m<br>USD 43.70 / sh | USD 184,478m<br>USD 47.20 / sh | USD 198,143m<br>USD 50.70 / sh |
| +20%<br>USD 14,908m                                  | USD 156,534m<br>USD 40.10 / sh | USD 171,442m<br>USD 43.90 / sh | USD 186,350m<br>USD 47.70 / sh | USD 201,258m<br>USD 51.40 / sh | USD 216,166m<br>USD 55.20 / sh |

## SCENARIO VALUATION

## Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

| SCENARIO BRIDGE |         |         |        |          |           |           |               |        |
|-----------------|---------|---------|--------|----------|-----------|-----------|---------------|--------|
|                 | REVENUE | EBITDA  | MARGIN | MULTIPLE | EV        | EQUITY    | VALUE / SHARE | UPSIDE |
| Bear            | 90,000  | 8,000   | 8.9%   | 39.2×    | 313,660   | 315,574   | USD 79.90     | -75.7% |
| Base            | 130,000 | 51,000  | 39.2%  | 10.4×    | 531,232   | 533,146   | USD 134.99    | -58.9% |
| Bull            | 250,000 | 100,000 | 40.0%  | 10.9×    | 1,092,340 | 1,094,255 | USD 277.06    | -15.7% |

### KEY CONDITIONS

Bear assumes no option value and weak manufacturing cash conversion. Base requires automotive recovery, sustained energy profitability, software scaling and partial probability-weighted success in autonomy and robotics. Bull reflects the high end of the explicit opportunity ranges: broad driverless permission, multi-million-vehicle robotaxi scale, externally validated Optimus production and materially higher cash generation, rather than unchanged base-case net cash. Each scenario follows the target-price bridge: profit engines as modelled, plus Unsupervised autonomy and robotaxi network and Optimus general-purpose robotics at zero in Bear, at the bridge's probability weighting in Base, and at the best single scenario leg with certainty in Bull. The multiple column is therefore implied group EV/EBITDA, not a selected multiple. The code-verified 12-month target of USD 135.0 sits between Base and Bull: Bear USD 79.9, Base USD 135.0, Bull USD 277.1. Method weights are shown in the Target Price Bridge.

### THESIS BREAKER

**Broad, independently audited driverless commercialization combined with positive robotics unit economics would invalidate the base probabilities.**

CATALYSTS

## Monitoring checklist

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Near-, medium- and long-term events that could change the recommendation.

| CATALYST REGISTER                                      |             |                                               |                                                 |                                                     |
|--------------------------------------------------------|-------------|-----------------------------------------------|-------------------------------------------------|-----------------------------------------------------|
|                                                        | TIMING      | SEGMENT                                       | INDICATOR                                       | VALUATION IMPACT                                    |
| Cybercab launch event and disclosed production plan    | NEAR-TERM   | Unsupervised autonomy and robotaxi network    | Vehicle count, start date and operating domain  | Raises option value if production and permits align |
| Texas Robotaxi permit renewal evidence                 | NEAR-TERM   | Unsupervised autonomy and robotaxi network    | Valid TNC authority after 6 August 2026         | Removes an immediate permission gap                 |
| Automotive margin recovery without credit support      | NEAR-TERM   | Automotive manufacturing and leasing          | Gross margin excluding credits above 20%        | Supports target EBITDA and multiple                 |
| FSD subscriber and retention disclosure                | MEDIUM-TERM | Paid driver-assistance and connected software | Paying users, churn and effective monthly yield | Narrows recurring-revenue uncertainty               |
| Energy revenue doubles with high-twenties gross margin | MEDIUM-TERM | Energy storage and solar                      | Revenue, deployments and segment gross profit   | Validates the \$7bn EBITDA pathway                  |
| Charging throughput exceeds 17 TWh annualized          | MEDIUM-TERM | Supercharging network                         | kWh per connector and paid energy               | Supports \$2bn EBITDA base                          |
| Optimus external deployment with uptime data           | LONG-TERM   | Optimus general-purpose robotics              | Productive hours, interventions and unit cost   | Converts prototype evidence into option value       |

### READ - THROUGH

Near-term catalysts are unusually binary because they concern permission and evidence rather than ordinary demand. The Cybercab event matters only if it provides an auditable production and regulatory path; presentation quality does not change the option arithmetic. Automotive margin and FSD subscriber yield are the nearer-term cash indicators. Medium-term upside requires simultaneous progress. Energy and charging must generate cash while autonomy and Optimus consume capital. The most valuable disclosure would be standardized operating data, including paid miles, interventions, uptime, utilization and contribution margin, allowing investors to replace narrative probabilities with observable economics.

## RISKS

## Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

| RISK REGISTER                                        |                                               |                                                                                             |                                                               |        |                |
|------------------------------------------------------|-----------------------------------------------|---------------------------------------------------------------------------------------------|---------------------------------------------------------------|--------|----------------|
|                                                      | SEGMENT                                       | MECHANISM                                                                                   | EARLY WARNING                                                 | IMPACT | TYPE           |
| <b>Sustained vehicle price and margin pressure</b>   | Paid driver-assistance and connected software | Lower pricing reduces manufacturing profit and shrinks the monetizable fleet economics.     | Margin ex-credits remains below 18% despite record deliveries | HIGH   | THESIS BREAKER |
| <b>Driverless permission does not broaden</b>        | Unsupervised autonomy and robotaxi network    | Geofenced launches cannot reach the fleet and revenue assumed by success legs.              | California remains with-driver only; Texas renewal unclear    | HIGH   | STRUCTURAL     |
| <b>Supervised safety data fails to translate</b>     | Paid driver-assistance and connected software | Higher intervention or liability cost lowers adoption, permits and network margin.          | No auditable rider-only reporting or adverse-weather data     | HIGH   | THESIS BREAKER |
| <b>Battery cost savings are competed away</b>        | Automotive manufacturing and leasing          | BYD, CATL and integrators pass lower input costs into price faster than Tesla reduces cost. | Energy gross margin falls below 25%                           | HIGH   | MANAGEABLE     |
| <b>Charging expansion dilutes utilization</b>        | Automotive manufacturing and leasing          | New sites consume capital without enough paid kWh, while congestion harms owner experience. | Energy per stall drops below 268 kWh/day                      | MEDIUM | MANAGEABLE     |
| <b>Optimus remains teleoperated or task-specific</b> | Optimus general-purpose robotics              | Human support and integration costs eliminate the labor-cost advantage.                     | No cycle time, MTBF or intervention disclosure                | HIGH   | STRUCTURAL     |
| <b>Capital spending outruns operating cash flow</b>  | Unsupervised autonomy and robotaxi network    | AI, fleet and factory spending delays cash accumulation and lowers equity value.            | Capex exceeds \$25bn with negative free cash flow             | HIGH   | THESIS BREAKER |
| READ - THROUGH                                       |                                               |                                                                                             |                                                               |        |                |

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## APPENDIX

## Income statement

| INCOME STATEMENT — USD MILLIONS |        |        |        |        |        |        |
|---------------------------------|--------|--------|--------|--------|--------|--------|
|                                 | 2023   | 2024   | 2025   | 2026 E | 2027 E | 2028 E |
| Net Sales                       | 96,773 | 97,690 | 94,827 | 93,869 | 93,420 | 94,524 |
| EBITDA                          | 11,358 | 12,444 | 10,503 | 12,423 | 13,470 | 14,245 |
| EBITDA margin                   | 11.7%  | 12.7%  | 11.1%  | 13.2%  | 14.4%  | 15.1%  |
| Depreciation                    | -2,467 | -5,368 | -6,148 | -5,479 | -5,860 | -5,832 |
| Operating Profit (EBIT)         | 8,891  | 7,076  | 4,355  | 6,944  | 7,610  | 8,413  |
| EBIT margin                     | 9.2%   | 7.2%   | 4.6%   | 7.4%   | 8.1%   | 8.9%   |
| Net financial items             | 1,082  | 1,914  | 923    | 877    | 1,188  | 1,825  |
| Pre-tax Profit                  | 9,973  | 8,990  | 5,278  | 7,821  | 8,798  | 10,238 |
| Net Earnings                    | 14,976 | 7,153  | 3,855  | 7,296  | 8,208  | 9,551  |
| PER SHARE                       |        |        |        |        |        |        |
| EPS                             | 4.7    | 2.2    | 1.2    | 2.3    | 2.6    | 3      |
| DPS                             | 0      | 0      | 0      | 0      | 0      | 0      |
| Payout ratio                    | —      | —      | —      | —      | —      | —      |

E = Valuatum estimate (not yet actualised)



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## APPENDIX

## Balance sheet

| BALANCE SHEET — USD MILLIONS          |                |                |                |                |                |                |
|---------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                       | 2023           | 2024           | 2025           | 2026 E         | 2027 E         | 2028 E         |
| <b>ASSETS</b>                         |                |                |                |                |                |                |
| Tangible assets                       | 45,123         | 51,507         | 40,643         | 43,473         | 43,266         | 43,777         |
| Intangibles                           | 362            | 1,226          | 135            | 134            | 133            | 135            |
| Goodwill                              | 253            | 244            | 257            | 257            | 257            | 257            |
| <b>Non-current assets</b>             | <b>50,269</b>  | <b>57,186</b>  | <b>62,239</b>  | <b>65,068</b>  | <b>64,860</b>  | <b>65,372</b>  |
| Inventories                           | 13,626         | 12,017         | 12,392         | 12,015         | 11,957         | 12,099         |
| Receivables                           | 19,592         | 30,204         | 39,737         | 39,591         | 39,570         | 39,622         |
| Cash & equivalents                    | 16,398         | 16,139         | 16,513         | 16,053         | 15,976         | 16,165         |
| <b>Current assets</b>                 | <b>49,616</b>  | <b>58,360</b>  | <b>68,642</b>  | <b>67,659</b>  | <b>72,421</b>  | <b>81,653</b>  |
| <b>Total Assets</b>                   | <b>106,618</b> | <b>122,070</b> | <b>137,806</b> | <b>139,652</b> | <b>144,206</b> | <b>153,951</b> |
| <b>EQUITY &amp; LIABILITIES</b>       |                |                |                |                |                |                |
| Equity                                | 63,609         | 73,680         | 82,865         | 90,161         | 98,369         | 107,919        |
| Long-term debt                        | 2,682          | 5,535          | 6,736          | 1,787          | —              | —              |
| Short-term debt                       | 1,975          | 2,343          | 1,640          | 1,787          | 0              | 0              |
| <b>Long-term liabilities</b>          | <b>9,345</b>   | <b>13,824</b>  | <b>23,227</b>  | <b>18,278</b>  | <b>16,491</b>  | <b>16,491</b>  |
| <b>Current liabilities</b>            | <b>28,748</b>  | <b>28,821</b>  | <b>31,714</b>  | <b>31,212</b>  | <b>29,346</b>  | <b>29,540</b>  |
| <b>Total liabilities &amp; equity</b> | <b>106,618</b> | <b>122,070</b> | <b>137,806</b> | <b>139,652</b> | <b>144,206</b> | <b>153,951</b> |
| <b>CAPITAL STRUCTURE &amp; RATIOS</b> |                |                |                |                |                |                |
| Net debt                              | -6,825         | -2,516         | -8,137         | -12,478        | -20,894        | -29,932        |
| Capital invested                      | 51,868         | 65,419         | 74,728         | 77,683         | 77,475         | 77,987         |
| Equity ratio                          | 59.7%          | 60.4%          | 60.1%          | 64.6%          | 68.2%          | 70.1%          |
| Gearing                               | -10.7%         | -3.4%          | -9.8%          | -13.8%         | -21.2%         | -27.7%         |
| Net debt / EBITDA                     | -0.6×          | -0.2×          | -0.8×          | -1.0×          | -1.6×          | -2.1×          |
| Current ratio                         | 1.7            | 2              | 2.2            | 2.2            | 2.5            | 2.8            |

E = Valuatium estimate (not yet actualised)

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## APPENDIX

## Cash flow

| CASH FLOW — USD MILLIONS                    |         |         |         |        |        |        |
|---------------------------------------------|---------|---------|---------|--------|--------|--------|
|                                             | 2023    | 2024    | 2025    | 2026 E | 2027 E | 2028 E |
| OPERATIONS                                  |         |         |         |        |        |        |
| Cash from operations (model)                | 10,553  | 3,171   | 3,691   | 12,649 | 14,068 | 15,384 |
| Operating cash flow (Valuatium calculation) | 3,263   | 1,868   | 2,616   | 11,831 | 12,959 | 13,681 |
| Change in working capital                   | 7,474   | 9,298   | 6,312   | 126    | 0      | -1     |
| INVESTING & FREE CASH                       |         |         |         |        |        |        |
| Gross capex                                 | 11,643  | 12,285  | 11,201  | 8,308  | 5,652  | 6,345  |
| Capex (ex. M&A)                             | -11,643 | -12,285 | -11,201 | -8,308 | -5,652 | -6,345 |
| Cash after capex (CFO - gross capex)        | -1,090  | -9,114  | -7,510  | 4,341  | 8,416  | 9,039  |
| Free operating cash flow (Valuatium def.)   | -6,634  | -8,791  | -383    | 3,523  | 7,307  | 7,336  |
| Free cash flow to firm                      | -6,632  | -8,791  | -383    | 3,523  | 7,307  | 7,336  |
| FINANCING                                   |         |         |         |        |        |        |
| CF from financing                           | 8,306   | 8,594   | 8,285   | -4,801 | -3,575 | —      |
| Dividends paid                              | —       | —       | —       | —      | —      | —      |
| Net change in cash                          | 7,216   | -520    | 775     | -460   | 4,841  | 9,039  |

E = Valuatium estimate (not yet actualised)

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## APPENDIX

## Quarterly snapshot

| HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS |        |        |        |        |        |        |        |        |
|--------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|
|                                                              | Q1/24  | Q2/24  | Q3/24  | Q4/24  | Q1/25  | Q2/25  | Q3/25  | Q4/25  |
| Net Sales                                                    | 21,301 | 25,500 | 25,182 | 25,707 | 19,335 | 22,496 | 28,095 | 24,901 |
| EBITDA                                                       | 2,417  | 2,883  | 4,065  | 3,079  | 1,846  | 2,356  | 3,249  | 3,052  |
| EBITDA margin                                                | 11.3%  | 11.3%  | 16.1%  | 12.0%  | 9.5%   | 10.5%  | 11.6%  | 12.3%  |
| Comparable EBIT                                              | 1,171  | 1,605  | 2,717  | 1,583  | 399    | 923    | 1,624  | 1,409  |
| EBIT margin                                                  | 5.5%   | 6.3%   | 10.8%  | 6.2%   | 2.1%   | 4.1%   | 5.8%   | 5.7%   |
| Net Earnings                                                 | 1,405  | 1,416  | 2,183  | 2,332  | 420    | 1,190  | 1,389  | 856    |
| EPS                                                          | 0.4    | 0.4    | 0.7    | 0.7    | 0.1    | 0.4    | 0.4    | 0.3    |

| CURRENT YEAR — QUARTERLY, USD MILLIONS |        |        |         |         |
|----------------------------------------|--------|--------|---------|---------|
|                                        | Q1/26  | Q2/26  | Q3/26 E | Q4/26 E |
| Net Sales                              | 22,387 | 28,236 | 27,500  | 24,649  |
| EBITDA                                 | 2,531  | 398    | 3,215   | 3,038   |
| EBITDA margin                          | 11.3%  | 1.4%   | 11.7%   | 12.3%   |
| Comparable EBIT                        | 941    | 398    | 1,590   | 1,395   |
| EBIT margin                            | 4.2%   | 1.4%   | 5.8%    | 5.7%    |
| Net Earnings                           | 491    | 1,128  | 1,795   | 1,088   |
| EPS                                    | 0.2    | 0.4    | 0.6     | 0.3     |

E = ValuatUM estimate (not yet actualised)

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## SOURCES &amp; DISCLAIMER

## Sources, assumptions, and standard disclaimer

## SOURCES REGISTER

|                                                                | VALUE                                                                                                   | CATEGORY           | USED IN                           |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|--------------------|-----------------------------------|
| Financial statements and forecast model                        | Valuatum Wisdom model 12823, snapshot period 2026                                                       | FINANCIAL SNAPSHOT | Financials, forecasts & valuation |
| Share-price history and market profile                         | Financial Modeling Prep, TSLA <a href="https://financialmodelingprep.com">financialmodelingprep.com</a> | MARKET DATA        | Price chart & market facts        |
| Tesla, Inc. Annual Report on Form 10-K for the Fiscal Year...  | <a href="https://ir.tesla.com/.../tesla-20251231-gen.pdf">ir.tesla.com/.../tesla-20251231-gen.pdf</a>   | OFFICIAL SOURCE    | Reported segment table            |
| Tesla officially confirmed a Cybercab launch event is sched... | <a href="https://vertexaisearch.cloud.google.com">vertexaisearch.cloud.google.com</a>                   | OFFICIAL SOURCE    | Tesla via autoevolution           |
| Tesla decommissioned Model S and X lines at the Fremont Fac... | <a href="https://vertexaisearch.cloud.google.com">vertexaisearch.cloud.google.com</a>                   | OFFICIAL SOURCE    | Tesla Q2 2026 Update              |
| BYD leads the Chinese new energy vehicle (NEV) market with...  | <a href="https://cnevpost.com">cnevpost.com</a>                                                         | OFFICIAL SOURCE    | China Passenger Car Associa...    |
| Volkswagen Group is a major competitor in Europe, where bat... | <a href="https://www.acea.auto">www.acea.auto</a>                                                       | OFFICIAL SOURCE    | European Automobile Manufac...    |

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